OTC MARKETS GROUP INC OTCM

October 30, 2025 - 10:30am EST
by woop

			2025	2026
Price:	51.30	EPS	0	0
Shares Out. (in M):	12	P/E	0	0
Market Cap (in $M):	617	P/FCF	0	0
Net Debt (in $M):	-42	EBIT	0	0
TEV (in $M):	575	TEV/EBIT	0	0

Description

SUMMARY

OTC Markets, Inc. ("OTCM") is the highest conviction idea of my investing career and represents the largest position (at cost) that I have made, at over 30%. While widely acknowledged as a high-quality company (+60% 10-year median ROIC; 33% 10-year median operating margin (never dropping below 30%); 13% 10-year EPS CAGR), the **investment community has recently begun to view it as a low-to-no growth stock**—or worse, a potentially declining growth stock due to the slight downtrend in OTCM corporate subscribers. Sell-side research, X chatter, and writeups all subscribe to this view.

- Sponsored research. Aug 19, 2025 "We expect OTCM to continue to trade at a discount to its peer average given the near-term revenue growth profile" (link)
- X chatter. Mar 18, 2025 "OTC Markets Group has struggled to grow post 2021 boom times." (link) // May 31, 2025 "Right now, $OTCM is like a high-performance engine idling in neutral—superb efficiency, but not accelerating" (link) // Oct 20, 2025 "$OTCM is down 15% from the high it hit in November 2021, 4 years ago… On the assumption they do $30 mil in net income in 2025 the yield today is 5%. Not much to get excited about." (link)
- Writeups. May 14, 2022 "The business is not one that is going to be 100% predictable in terms of future growth but a conservative estimate based on past performance should suffice" (link) // Dec 26, 2023 "I see a few suspicious clouds hovering on the horizon for OTC Markets Group." (link) // Jul 9, 2025 "The question I have to ask myself is where will the future growth come from. It seems to me this isn't as clear and obvious with OTCM as it can be with other businesses." (link)

This view is incorrect, however. Using detailed live data corresponding to each of OTCM's 3 reporting segments, I estimate that in Q3 2025 OTCM should post ~12% y/y revenue growth with *very* high certainty and ~20% growth in operating earnings (operating earnings harder to be sure since it will depend in part on expenses). Q4 2025 should prove even better because the Q3 corporate subscriber signups will flow through to all of Q4 on a revenue-accrual basis—plus OTCM consistently has lower Compensation & Benefits expenses in Q4. OTCM has ~82% recurring revenue (driven by yearly subscriptions) and, by scraping info, I've compiled reliable estimates for Q3 and Q4 of 2025 revenues. Thus the revenue uplift is baked and should largely flow to the bottom line, as most of the expense base is fixed (*e.g.*, ~75-90%) and Q2 2025 headcount *reduced* both q/q and y/y. I estimate a **+30-50% IRR** through year-end 2026. Since the thesis rests on unlocking detailed real-time Q3 2025 revenue estimates, I'll cover each reporting segment upfront.

- **Segment #1 OTC Link**
  - Q3 2024A Net Revenue = $3.8m (*i.e.*, after "Transaction-Based Expenses")
  - Q3 2025E Net Revenue = $4.3m (13% increase; note though that Q4 2024 will be a tough comp with perhaps only a ~2% increase)
  - Rationale: Most OTC Link revenue (~80%) stems from trading activity. During H1 2025, OTC Link gross revenues increased ~20% and should do similarly or slightly better in Q3 2025 (+2.3% q/q # of trades on the OTC Markets; link vs link). My 13% expected net revenue increase reflects the OTC security volumes during Q3 2025 and could prove conservative, given that in FY2024 OTCM had $0 of overnight trading revenue but has presumably begun earning overnight trading revenue during FY2025.
- **Segment #2 Market Data Licensing**
  - Q3 2024A Net Revenue = $10.1m (*i.e.*, after "Redistribution Fees/Rebates")
  - Q3 2025E Net Revenue = $11.3m (12% increase)
  - Rationale: On Jan 1, 2025, OTCM substantially raised prices without impacting customer retention. Market Data Licensing reflects all recurring revenue (99.8%), so you can simply take Q2 2025's $11.3m of net revenue and run it through H2 2025. Plus, as OTCM's overnight trading efforts continue to take hold (Moon ATS and OTC Overnight), we can expect some incremental Market Data Licensing revenue—which I've excluded for conservatism.
- **Segment #3 Corporate Services**
  - Q3 2024A Net Revenue = $11.3m
  - Q3 2025E Net Revenue = $12.4m (10% increase; but an even bigger expected increase (~13%) in Q4 2025 as the accrued revenue from the signups achieved *during* Q3 2025 flows entirely through in Q4 2025)
  - Rationale: OTCM is currently addressing a free-rider problem, whereby most "Pink/Grey/Expert"-tier companies have benefited from the market infrastructure facilitated by OTCM without paying anything directly to OTCM as Corporate Services clients. As a corrective measure, beginning Jul 1, 2025 (*i.e.*, beginning of Q3 2025), OTCM launched a new paid "OTCID" tier and eliminated the Pink Current tier—thereby creating a (paid) home for companies wanting to provide vetted disclosure without having to meet the loftier OTCQX/B requirements. It's complex, but by meticulously reviewing the otcmarkets.com website, one can assess the real-time success of the OTCID campaign—in terms of its dollar impact by monetizing net new users. Q3 is in the books and looks to lift Corporate Services revenue by ~10%. Q4 will prove better, however, because it will fully capture many signups that occurred *during* Q3. If, say, a company joined OTCID on Sep 30, 2025, then Q3 will only have 1 day of accrued revenues vs Q4's 90 days of accrued revenue. Plus we have tracked uplistings to OTCQX/B, and OTCQB has shown meaningful increases in particular.
  - The following table shows our estimates of Corporate Services uptake during Q3 2025 and beginning Q4 2025.

						Corporate Service Revenues ($M)								
		Net Corporate Sub Counts (Companies)				Recurring						One		
		OTCQX	OTCQB	OTCID/Pink	TOTAL	OTCQX	OTCQB	OTCID/Pink	Calc'd	Shortfall	Subtotal	Time	TOTAL	Notes
	FY2025													
	Pre-OTCID Rollout													
[1]	Q1 End	548	1,051	1,303	2,902	$ 3.53	$ 4.15	$ 2.41	$ 10.09	$ 0.59	$ 10.67	$ 0.41	$ 11.08	< Gray-Shaded = As Reported
[2]	Q2 End	556	1,073	1,362	2,991	3.62	4.29	2.55	10.45	0.71	11.16	0.58	11.74	< Gray-Shaded = As Reported
	Q3 (Jul 1, 2025 OTCID Rollout)													
[3]	Jul 1, 2025 (Tue)	556	1,075	1,510	3,141	0.12	0.14	0.09	0.35	0.03	0.38			
[4]	Jul 4, 2025 (Fri)	556	1,077	1,522	3,155	0.28	0.33	0.22	0.83	0.07	0.90			
[5]	Jul 11, 2025 (Fri)	557	1,079	1,525	3,161	0.28	0.33	0.22	0.83	0.07	0.90			
[6]	Jul 18, 2025 (Fri)	557	1,080	1,535	3,172	0.28	0.33	0.22	0.83	0.07	0.90			
[7]	Jul 25, 2025 (Fri)	557	1,082	1,544	3,183	0.28	0.33	0.22	0.83	0.07	0.90			
[8]	Aug 1, 2025 (Fri)	557	1,084	1,551	3,192	0.28	0.33	0.22	0.83	0.07	0.90			
[9]	Aug 8, 2025 (Fri)	556	1,087	1,553	3,196	0.28	0.33	0.22	0.84	0.07	0.90			
[10]	Aug 15, 2025 (Fri)	555	1,093	1,564	3,212	0.28	0.34	0.22	0.84	0.07	0.91			
[11]	Aug 22, 2025 (Fri)	552	1,091	1,577	3,220	0.28	0.34	0.23	0.84	0.07	0.91			
[12]	Aug 29, 2025 (Fri)	552	1,093	1,593	3,238	0.28	0.34	0.23	0.84	0.07	0.91			
[13]	Sep 5, 2025 (Fri)	555	1,091	1,601	3,247	0.28	0.34	0.23	0.84	0.07	0.91			
[14]	Sep 12, 2025 (Fri)	555	1,094	1,601	3,250	0.28	0.34	0.23	0.84	0.07	0.91			
[15]	Sep 19, 2025 (Fri)	555	1,097	1,605	3,257	0.28	0.34	0.23	0.85	0.07	0.91			
[16]	Sep 26, 2025 (Fri)	556	1,097	1,612	3,265	0.20	0.24	0.17	0.61	0.05	0.65			
[17]	Q3 Total	-	+1.8/wk	+8.1/wk	+9.9/wk	$ 3.65	$ 4.39	$ 2.96	$ 11.00	$ 0.90	$ 11.90	$ 0.49	$ 12.40	
	Q4													
[18]	Oct 1, 2025 (Wed)	557	1,094	1,616	3,267	0.08	0.10	0.07	0.24	0.02	0.26			
[19]	Oct 3, 2025 (Fri)	558	1,090	1,617	3,265	0.28	0.33	0.23	0.85	0.07	0.92			
[20]	Oct 10, 2025 (Fri)	558	1,097	1,622	3,277	0.28	0.34	0.23	0.85	0.07	0.92			
[21]	Oct 17, 2025 (Fri)	561	1,089	1,635	3,285	0.28	0.33	0.24	0.85	0.07	0.92			
[22]	Oct 24, 2025 (Fri)	563	1,097	1,635	3,295	0.28	0.34	0.24	0.85	0.07	0.92			
[23]	Oct 31, 2025 (Fri)	563	1,098	1,640	3,301	0.28	0.34	0.24	0.86	0.07	0.93			
[24]	Nov 7, 2025 (Fri)	563	1,099	1,645	3,307	0.28	0.34	0.24	0.86	0.07	0.93			
[25]	Nov 14, 2025 (Fri)	563	1,100	1,650	3,313	0.28	0.34	0.24	0.86	0.07	0.93			
[26]	Nov 21, 2025 (Fri)	563	1,101	1,654	3,318	0.28	0.34	0.24	0.86	0.07	0.93			
[27]	Nov 28, 2025 (Fri)	563	1,102	1,658	3,323	0.28	0.34	0.24	0.86	0.07	0.93			
[28]	Dec 5, 2025 (Fri)	563	1,103	1,662	3,328	0.28	0.34	0.24	0.86	0.07	0.93			
[29]	Dec 12, 2025 (Fri)	563	1,104	1,666	3,333	0.28	0.34	0.24	0.86	0.07	0.93			
[30]	Dec 19, 2025 (Fri)	563	1,105	1,670	3,338	0.28	0.34	0.24	0.86	0.07	0.93			
[31]	Dec 26, 2025 (Fri)	563	1,106	1,674	3,343	0.24	0.29	0.21	0.74	0.06	0.80			
[32]	Q4 Total	+0.5/wk	+1.0/wk	+4.7/wk	+6.1/wk	$ 3.70	$ 4.44	$ 3.11	$ 11.25	$ 0.92	$ 12.17	$ 0.49	$ 12.66	
[33]	FY2025 Total	563	1,106	1,674	3,343	$ 14.50	$ 17.27	$ 11.03	$ 42.79	$ 3.12	$ 45.91	$ 1.97	**$ 47.88**	< FY2025 Estimate

Putting it together, I estimate a **~34% IRR** through year-end 2026. For convenience, I have included a link to my model.

- Conservative base model = 23.0x LTM P/E and 34% IRR.
- Continued OTCID penetration through FY2026 and a 25.0x LTM P/E produces a 47% IRR.
- OTCM trades in a tight P/E range. For each quarter since Q1 2017, OTCM has traded as follows on a LTM P/E basis: Min = 21.3x (Q3 2022), Quarterly Avg = 24.0x, Max = 27.1x (Q3 2017) (Source: Cap IQ; see Sheet "Multiples (Q)"). The coming revenue and earnings uplift could justify OTCM trading above a 25.0x LTM P/E, producing an even higher IRR exceeding 30-50% range.

OTC Markets Group Inc. — OTCPK:OTCM
Price — 51.30
Avg. USD Traded Per Day (60 Days) — USD ~308k

						15c2-11 Increases Corp. Clients	Acq. Blue Sky $12m 5/2/2022						OTCID Launch 7/1/2025			
			History										Forecast			
									FY25A		Current	FY25E				
	Units	Calc	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	Q1A	Q2A	LTM	Q3E	Q4E	FY25E	FY26E	Notes
OTCPK:OTCM IRR																	
[1] Purchase	$/Share	-[6]	---------	---------	---------	---------	---------	---------	---------	---------	---------	(51.30)					
[2] Pre-Tax Dividends	$/Share		---------	---------	---------	---------	---------	---------	---------	---------	---------		0.18	2.28	2.83	2.96	
[3] Pre-Tax Sale Proceeds	$/Share	[13]	---------	---------	---------	---------	---------	---------	---------	---------	---------					66.12	
[4] Pre-Tax Cash Flow	$/Share	[1]+[2]+[3]	---------	---------	---------	---------	---------	---------	---------	---------	---------	(51.30)	0.18	2.28	2.83	69.08	
[5] Pre-Tax IRR	%	IRR[4]	---------	---------	---------	---------	---------	---------	---------	---------	---------	34%					
OTCPK:OTCM Forward Valuation at Current Price																	
[6] Price (period avg.)	$/Share		28.34	33.63	30.85	45.38	57.40	56.64	52.02	50.61	49.19	51.30	51.30	51.30	51.30	51.30	
[7] S/O	MShares		11.62	11.70	11.63	11.81	11.89	11.86	11.84	11.83	11.83	11.83	11.83	11.83	11.83	11.83	
[8] Market Cap	$M	[6]*[7]	329	394	359	536	682	672	616	599	582	607	607	607	607	607	
[9] (+) Debt (Excl. Leases)	$M		-	-	-	-	-	-	-	-	-	-	-	-	-	-	
[10] (-) Cash	$M		(29)	(28)	(34)	(50)	(37)	(38)	(39)	(33)	(42)	(33)	(33)	(33)	(33)	(33)	
[11] EV	$M	[8]+[9]+[10]	301	365	325	486	645	634	577	566	540	574	574	574	574	574	
[12] P / E (LTM)	x	[8]/[37]	20x	26x	20x	18x	22x	24x	23x	25x	20x	22x	17x	17x	19x	18x	
OTCPK:OTCM Exit Valuation																	
[13] Price	$/Share	([14]*[37])/[7]										51.30	56.94	60.51	60.51	66.12	
[14] P / E	x											21.6x	23.0x	23.0x	23.0x	23.0x	
OTCPK:OTCM Income Statement																	
Revenue																	
[15] OTC Link (Net)	$M		10.8	10.9	12.9	20.4	15.1	14.1	15.8	4.2	4.2	16.4	4.3	4.3	16.9	16.9	
[16] *Growth*	%	[15]/[15]{t-1}-1	7%	1%	18%	58%	(26%)	(7%)	12%	8%	8%	12%	13%	2%	8%	(0%)	- Potentially conservative since OTC trading
[17] Market Data Licensing (Net)	$M		20.9	22.0	25.3	30.7	33.3	40.1	40.4	11.8	11.3	43.3	11.3	11.3	45.8	48.0	volumes are up big in Q3 2025.
[18] *Growth*	%	[17]/[17]{t-1}-1	8%	5%	15%	21%	8%	20%	1%	15%	13%	7%	12%	12%	13%	5%	- Reflects significant price increase without
[19] Corporate Services	$M		24.7	26.7	27.2	39.5	47.8	46.9	45.0	11.1	11.7	45.4	12.4	12.7	47.9	52.0	churning customers.
[20] *Growth*	%	[19]/[19]{t-1}-1	9%	8%	2%	45%	21%	(2%)	(4%)	(1%)	3%	(1%)	10%	13%	6%	9%	- Reflects the continued rollout of OTCID and
[21] Net Revenue	$M	[15]+[17]+[19]	56.5	59.6	65.4	90.6	96.2	101.1	101.2	27.1	27.2	105.0	28.0	28.3	110.6	117.0	associated uplistings to OTCQX/B.
[22] *Growth*	%	[21]/[21]{t-1}-1	8%	6%	10%	39%	6%	5%	0%	7%	8%	4%	11%	11%	9%	6%	- Reflects a return to growth, not unlike
[23] *5Y CAGR*	%	([21]/[21]{t-5})^(1/5)-1	11%	8%	7%	13%	13%	12%	11%	12%	9%		14%	10%	11%	5%	what we have seen throughout OTCM's lumpy
[24] *10Y CAGR*	%	([21]/[21]{t-10})^(1/10)-1	11%	10%	10%	11%	11%	12%	10%						9%	9%	revenue growth history.
Operating Expenses																	
[25] Operating Expenses	$M		(36.8)	(41.7)	(44.0)	(52.6)	(59.4)	(68.5)	(69.0)	(19.8)	(18.4)	(71.5)	(17.6)	(17.5)	(73.3)	(76.3)	
[26] *Growth*	%	[25]/[25]{t-1}-1	9%	13%	5%	20%	13%	15%	1%	6%	8%	4%	6%	5%	6%	4%	
Operating Income																	
[27] Operating Income	$M	[21]+[25]	19.6	17.9	21.4	38.0	36.8	32.6	32.2	7.3	8.8	33.5	10.4	10.8	37.3	40.6	
[28] *Growth*	%	[27]/[27]{t-1}-1	7%	(9%)	20%	77%	(3%)	(11%)	(1%)	9%	9%	4%	21%	23%	16%	9%	
[29] *Operating Margin*	%	-[27]/[21]	35%	30%	33%	42%	38%	32%	32%	27%	32%	32%	37%	38%	34%	35%	
[30] *Incremental Operating Margin*	%	27]-[27]{t-1})/([21]-[21]{t-1	31%	(56%)	61%	66%	(21%)	(86%)	(386%)	33%	35%	32%	63%	73%	54%	53%	
[31] *3Y Incremental Operating Margin*	%	27]-[27]{t-3})/([21]-[21]{t-3	31%	9%	24%	54%	52%	31%	(55%)			(45%)			3%	51%	
[32] *5Y Incremental Operating Margin*	%	27]-[27]{t-5})/([21]-[21]{t-5	50%	25%	26%	50%	42%	29%	34%			31%			35%	10%	
[33] *10Y Incremental Operating Margin*	%	7]-[27]{t-10})/([21]-[21]{t-1	0%	(0%)	(0%)	0%	(0%)	(0%)	0%						32%	35%	
Non-Operating Income																	
[34] Non-Operating Income	$M		0.1	0.1	(0.0)	(0.1)	0.1	0.9	0.9	0.1	0.2	1.0	0.3	0.4	1.0	1.2	
Net Income																	
[35] Pretax Income	$M	[27]+[34]	19.8	18.0	21.4	38.0	37.0	33.5	33.1	7.4	9.0	34.5	10.7	11.2	38.3	41.8	
[36] (-) Taxes	$M		(3.5)	(3.0)	(3.1)	(7.5)	(6.2)	(5.8)	(5.8)	(1.4)	(1.7)	(6.4)	(2.0)	(2.1)	(7.2)	(7.8)	
[37] Net Income	$M	[35]+[36]	16.2	14.9	18.3	30.5	30.8	27.7	27.4	6.0	7.3	28.0	8.7	9.1	31.1	34.0	
[38] *Growth*	%	[37]/[37]{t-1}-1	29%	(8%)	22%	67%	1%	(10%)	(1%)	1%	8%	3%	17%	25%	14%	9%	The market has rebranded OTCM as a no
[39] *5Y CAGR*	%	([37]/[37]{t-5})^(1/5)-1	24%	14%	12%	24%	20%	11%	13%			9%			11%	2%	growth stock, and a big earnings increase
[40] *10Y CAGR*	%	([37]/[37]{t-10})^(1/10)-1	22%	16%	20%	20%	19%	17%	13%						12%	12%	will surprise.
[41] *15Y CAGR*	%	([37]/[37]{t-15})^(1/15)-1				19%	16%	18%	15%						17%	14%	

The Market has not been pricing in a 20-25% increase in operating earnings that will result from: (i) high volumes benefitting OTC Link (Segment #1), (ii) a big Market Data Licensing increase without losing big customers (Segment #2), and (iii) most importantly, the OTCID rollout and associated uplistings to OTCQX/B (especially OTCQB) benefitting Corporate Services (Segment #3).

I found the idea by owning OTCM for some years as a small position ~1-2% and then mentioning as much to a friend. He kindly introduced me to a talented investor who has owned OTCM since 2016. Sensing catalysts across all 3 reporting segments, we began working together to read through the available real-time data in each of the 3 segments to unpack how much revenue we *know* OTCM will roughly print. Crunching the data was a big lift, and I owe immense credit to Jon at Quilt Investment Management in particular for his efforts to untangle the Corporate Services puzzle.

Contents:

COMPANY OVERVIEW

In Jul 2025, the "Margin of Sanity" Substack wrote an excellent conceptual overview of OTCM (link), appropriately taking it on segment by segment. I recommend it as a company overview, as he skillfully handled a difficult topic.

He notes that from 2010 → 2024 revenue compounded at 10% and EPS compounded at 16%, but then expresses some concern over the source of future growth. In early Jun 2025, I visited the OTCM office and discussed the prospects of the three reporting segments. I have a few reactions to Margin of Sanity's "Part 4: Organic Growth," where he questioned what would fuel future growth (and which he incidentally framed as his reason for not buying more):

> **Segment #1 OTC Link ($16m (16%) of LTM net revenue; comprised of 20% ARR)** functions as the backbone of the other two segments but faces limited growth potential. It's a limited subscriber universe, with a finite number of market-making firms and broker-dealers (*e.g.*, Virtu/Jane Street/Citadel)—and OTC Link already has plenty of penetration with 137 unique subscribers. Management consistently stresses that while OTCM is positioned to take advantage of volume spikes, it knows such periods come and go. This contrasts with Market Data Licensing and Corporate Services, which have larger growth opportunities. Margin of Sanity highlights overnight trading, but I believe overnight trading is small and already fairly challenging with Blue Ocean having a strong head start, and OTCM will face increased competition from the exchanges themselves come H2 2026 (though OTCM should still

dominate overnight OTC trading with “OTC Overnight”). In summary, OTC Link revenues will trend with volumes, which have exhibited a consistently upward trend (lumpy +5.4% gross revenue CAGR from 2009 → mid-2025) with occasional spurts.

Segment #2 Market Data Licensing ($43m (41%) of LTM net revenue; comprised of 100% ARR) is mostly the “exhaust” of OTC Link, but also more lucrative. OTCM distributes real-time, delayed, and end-of-day data, as well as issuer-level and compliance datasets. Key customers/redistributors include Bloomberg, LSEG/Refinitiv, ICE, FactSet, Morningstar, *etc.*—plus a lot of the brokers like Fidelity, Schwab, Interactive Brokers, *etc.* Strangely, OTCM had not hiked professional real-time Market Data Licensing prices since 2020, and then hiked them substantially beginning Jan 1, 2025. This overwhelmingly material portion of Market Data Licensing—professional users (as opposed to nonprofessional users)—saw significant price increases with no observable attrition, reflecting inelastic demand.

Management acknowledged that OTCM pricing has not kept up with inflation, whereas others (*e.g.*, OTCM’s software vendors, data redistributors like Bloomberg, *etc.*) conduct regular price hikes exceeding inflation. This leads to the natural implication that OTCM is granting its customers fatter margins (somewhat at the expense of shareholders). It sounded like they have been considering more regular price increases in the Market Data Licensing segment. To the extent OTCM rationalizes its Market Data Licensing pricing policy—aligning it with OTCM’s Corporate Services’ regular y/y price increases, which customers can arguably stomach more easily—Market Data Licensing will serve as a more consistent growth driver.

And Market Data Licensing’s success has not rested on pushing price. During 2012 → 2024, Market Data Licensing professional users (the key revenue driver) steadily grew at a 4.2% CAGR.

Segment #3 Corporate Services ($45m (43%) of LTM net revenue; comprised of 95% ARR) offers the largest TAM and growth potential via the prospect of signing on ever more companies to the paid tiers—as we observe in real time with the Jul 1, 2025 OTCID initiative. And I agree with Margin of Sanity on OTCM benefitting from increased compliance requirements and regulatory focus over what was once a wild west (*e.g.*, Jordan Belfort’s Pink Sheets). OTCM’s business has increasingly gravitated toward compliance over the past 15 years—taming the wild west and receiving a prized position as a de facto regulator entitled to a high-margin toll. CEO Cromwell Coulson spun the Corporate Services segment out of thin air from nothing: $2.8m of 2009 revenue → $45.0m in 2024.

On price, OTCM Corporate Services possesses untapped pricing power when comparing limited costs associated with listing on a paid OTCM tier vs on a national exchange. In recent years, OTCM has raised tier subscription pricing by ~3-5%/year. Notably, however, OTCM’s recent announcement of Jul 1, 2026 prices shows a +7% price increase OTCID ($7,500/year → $8,040/year), reflecting confidence in the newly launched tier (launched Jul 1, 2025).

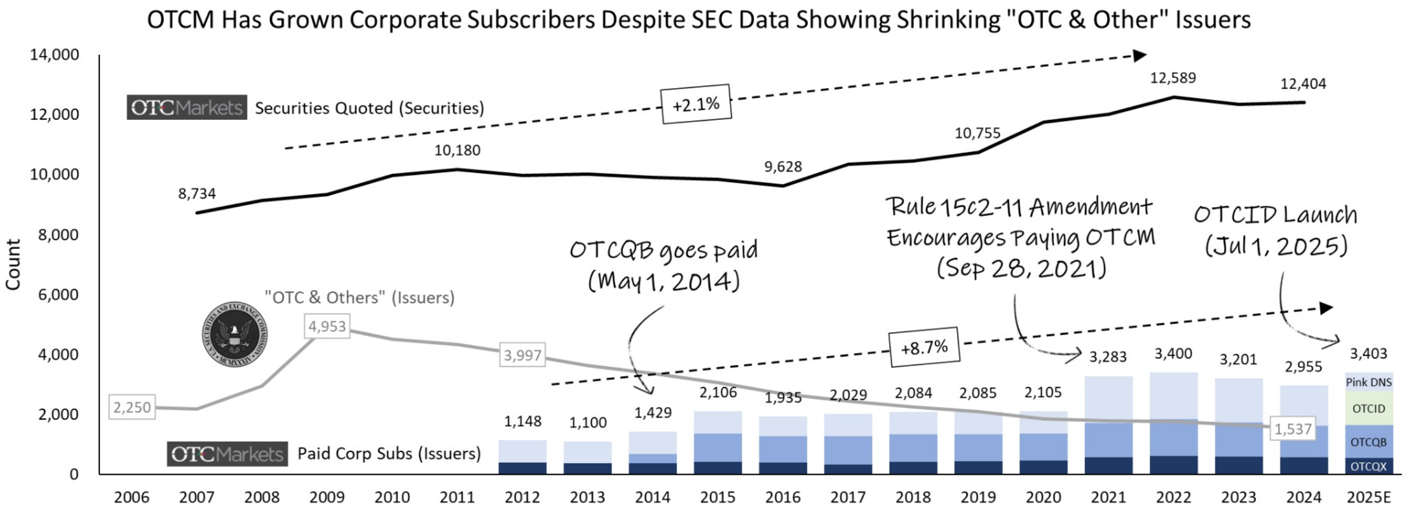
On quantity, OTCM Corporate Services has grown corporate subscribers at +8% from 2012 → 2024 (see chart below in the next section). OTCID is set to continue/accelerate that trend. More broadly, international companies aiming to gain exposure to US investors now comprise ~80% of the securities traded and ~80% of dollar volumes and have helped drive OTCM’s Corporate Services growth. They list locally but trade OTC in the US (covered in more detail in the next section). This journey remains a work in progress, with 9,100 Pink Limited companies and 3,700 Expert Market companies that could potentially become paying customers.

I should also note that OTCM has become a virtual monopoly. OTCM’s main competitor Global OTC (owned by NYSE Group, Inc.) has stated it has ~10% market share (link). As a cross-reference, for Q3 2025 we can compare OTCM’s trades (22.3m; link) with FINRA’s trades for (23.0m; link) and arrive at a 97% OTCM market share.

WHY THE OPPORTUNITY EXISTS

OTCM written off as a low-to-no growth stock. Public discourse has treated (and begun to value) OTCM as a no-growth stock—or worse, a melting ice cube due to the shrinking company listings on both the exchanges and OTC. I’ve spoken with some longtime and new OTCM shareholders, and none appear to have identified the coming revenue uplift. A key thing driving this misperception is the view that the overall decline in US-listed companies will diminish OTCM’s revenue prospects.

A talented investor’s 2023 writeup posited that OTCM’s revenues will potentially suffer over time as the number of “investable” OTC-traded companies—meaning companies with well-established, profitable businesses—will continue to decline, driven by buyouts, mergers, and a general movement of capital toward larger, established companies. The chart on Page 2 of this paper captures the trend. The thinking then goes: A shrinking pool of small, high-quality public companies will weaken OTCM’s long-term growth prospects and terminal value. In fact, as the (admittedly busy) chart below shows, OTCM has substantially grown its Corporate Services subscriber count (stacked bars) and quoted securities (black line) despite a steadily falling US OTC issuer count (gray line; source (see “OTC & Others”)).



Two events led to big corporate subscriber step-ups: (i) OTCQB going paid in 2014 and (ii) the Rule 15c2-11 amendment rollout during 2020-2021, pressuring OTC-listed companies to become OTCM corporate subscribers to ensure their stocks can legally get quoted by broker-dealers. Through Q3 2025 and October of Q4 2025, OTCID appears to reflect another step change in OTCM Corporate Services revenue. Time will tell if the OTCID-driven strength continues through FY2026. Per our estimates, OTCM currently monetizes ~30% of its marketplace (excluding Grey and Expert markets)—a share that has trended up over time. Management views the remainder as a target market.

Also, focusing on declining US OTC issuers in a way misses OTCM's secret sauce: How OTCM enables foreign companies to use their home market disclosures to list locally while trading globally in the US, in turn avoiding expensive and complex legal, accounting, and compliance costs. International companies comprise ~80% of the securities traded on OTCM's markets and generate +80% of the overall dollar volume (link). By listing via OTCM, they avoid initial and ongoing costs/burdens including:

- *US GAAP reconciliation.* Companies must reconcile their financial statements to GAAP, creating accounting and legal expenses.
- *Professional advisory fees.* Exchange listing requires substantial fees for external advisory costs, lawyers, board consultants, and internal expenses.
- *Sarbanes-Oxley compliance.* Exchange listing typically requires mandatory compliance with SOX requirements.
- *Misc.* Other costs include D&O insurance, added litigation exposure, ongoing SEC disclosure/SOX compliance even after delisting, management time suck, *etc.*

Misreading OTCM's Market Screener tool. Based on the timing of OTCM's stock movements, I suspect some OTCM "sharps" have monitored the OTCM Market Screener tool on the website as a potential look-through into OTCID's success (*e.g.*, in particular, on Aug 15, 2025 and the subsequent trading days OTCM sold off significantly in response to a bunch of temporary delistings presumably resulting from being 45 days tardy on up-to-date Jun 30, 2025 financials). Using OTCM's Market Screener tool to observe the current security listings as a proxy for Corporate Services success *does not work*. The Market Screener tool presents listings on a per-security basis, but Corporate Services revenue occurs at the per-issuer level. Our careful, painstaking (borderline masochistic!) tracking of what has occurred during Q3 2025 at the issuer level shows consistent growth (+8.1 paid OTCID/Pink DNS signups per week).

Sponsored research not a meaningful factor and the company does not give forward guidance. As discussed above, the sponsored research outfits do not conduct detailed real-time tracking of the success of the 3 reporting segments and lack insight into the success of the OTCID initiative. One of them doesn't even estimate segment-level revenues. So while the sponsored research serves its purpose in describing aspects of the company, I don't get the impression investors take the sponsored research price targets seriously. The business drivers are deceptively complex (*e.g.*, the tendency of international firms to list in the US; the tendency of OTC-traded companies to engage corporate services solutions), and unlike many high-quality companies, OTCM does not provide forward guidance/estimates and has not held an investor day in years (since Apr 2022). They provide the information; but structuring it and understanding the narrative isn't easy.

Liquidity constraints. Even though OTCM has a ~$600m market cap, it tends to only trade ~$300k ADV (with a significantly lower median volume). For many, that's uninvestable.

VALUATION

Excellent fundamentals. OTCM has some of the "cleanest" financials you'll find: Significant but lumpy organic growth with virtually no capex; high, steady operating margins; has converted +100% of earnings to FCF since 2015 (note the substantial deferred revenue generates "float" so to speak).

woop vs the analyst coverage. Two shops provide sponsored research on OTCM—Argus and Sidoti. They provide decent content regarding OTCM company history and current operations. But, unsurprisingly, they do not conduct detailed analysis regarding the real-time performance of OTCM's 3 reporting segments (doing so wouldn't make any sense from a return-on-time-invested perspective).

Still, for context, I've laid my estimates alongside the two on a like-for-like basis. A few comments:

- Revenues. I'm higher on revenues—despite being fairly conservative in my estimates—because we have good real-time visibility into all 3 reporting segments. And I can observe that Corporate Services should outperform on the back of the OTCID initiative combined with uplistings to OTCQX/B (mainly B).

- Expenses. Given OTCM's history of expense growth, I conservatively baked in higher expense growth than the analysts. Intuition reading the filings suggests that OTCM's expense base largely reflects fixed costs (*e.g.*, 75-90%). I asked about operating leverage on the Q2 2025 earnings call (last Q&A). Notably, OTCM *reduced* headcount q/q between Q1 2025 (131) and Q2 2025 (128). With many companies doing more with less these days, perhaps OTCM's regulatory moat combined with efficiency improvements will equate to more of a winning combination than my estimates give credit for.
- P/E multiple. I conservatively penciled 23.0x P/E, a little below the 24.0x average since 2017 and matching the lower of the two sponsored analysts (23.0x by Sidoti and 24.5x by Argus). P/E is a representative metric for OTCM because the earnings convert entirely to FCF and D&A tends to modestly exceed capex. As OTCID's continued success and revenue uplift come into focus, OTCM's P/E could understandably rise to 25x or higher.
- The similarities. Aside from my higher Corporate Services revenues, my figures don't differ substantially from the analysts' target prices and IRRs. What then makes OTCM interesting? The analysts present compelling IRRs, and we have a fix on the revenues via detailed, painstaking data scraping such that the range of potential outcomes shrinks dramatically. So we expect to actually get the IRR—and more, in all likelihood.

			FY2025E (12/31/2025)			FY2026E (12/31/2026)		
			Spons. Research			Spons. Research		
	Units	Calc	Argus	Sidoti	woop	Argus	Sidoti	woop
[1] Date			*8/20/2025*	*8/20/2025*		*8/20/2025*	*8/20/2025*	
Revenues								
[2] OTC Link	*$M*			25.4	26.1		25.6	25.7
[3] Market Data Licensing	*$M*			49.6	49.7		50.8	52.2
[4] Corporate Services	*$M*			45.6	47.9		46.7	52.0
[5] Gross Revenue	*$M*	*[2]+[3]+[4]*	122.4	120.6	123.7	126.0	123.0	129.9
[6] (-) Redistribution Fees and Rebates	*$M*		(4.0)	(3.8)	(3.9)	(4.0)	(3.7)	(4.2)
[7] Net Revenue	*$M*	*[5]+[6]*	118.4	116.8	119.8	122.0	119.4	125.7
[8] (-) Redistribution & Transaction Fees	*$M*		(9.2)	(8.8)	(9.1)	(9.2)	(7.7)	(8.8)
[9] Revenues Less Transaction-Based Expenses	*$M*	*[7]+[8]*	109.2	108.0	110.6	112.8	111.7	117.0
Operating Expenses								
[10] Compensation & Benefits	*$M*			(46.7)	(46.4)		(47.8)	(48.7)
[11] IT Infrastructure	*$M*			(11.2)	(11.2)		(11.3)	(11.5)
[12] Professional Fees	*$M*			(7.4)	(7.2)		(6.9)	(7.4)
[13] Marketing & Advertising	*$M*			(1.6)	(1.6)		(1.5)	(1.5)
[14] Occupancy Costs	*$M*			(2.5)	(2.6)		(2.4)	(2.7)
[15] D&A	*$M*			(2.8)	(2.6)		(3.0)	(2.6)
[16] G&A	*$M*			(1.7)	(1.7)		(1.6)	(1.8)
[17] Operating Expenses	*$M*	*SUM[10]:[16]*	(73.8)	(73.8)	(73.3)	(75.0)	(74.5)	(76.3)
Net Income								
[18] Operating Income	*$M*	*[9]+[17]*	35.4	34.2	37.3	37.8	37.2	40.6
[19] *Operating Margin*	*%*	*[7]/[18]*	*29.9%*	*29.3%*	*31.1%*	*31.0%*	*31.1%*	*32.3%*
[20] Interest Income & Other Income	*$M*		0.8	0.9	1.0	0.9	1.2	1.2
[21] Pretax Income	*$M*	*[18]+[20]*	36.2	35.1	38.3	38.7	38.4	41.8
[22] Taxes	*$M*		(6.5)	(6.5)	(7.2)	(7.0)	(6.6)	(7.8)
[23] Net Income	*$M*	*[21]+[22]*	29.7	28.6	31.1	31.7	31.8	34.0
Valuation								
[24] Net Income	*$M*	*[23]*	29.7	28.6	31.1	31.7	31.8	34.0
[25] S/O	*MShares*		12.07	11.83	11.83	12.01	11.83	11.83
[26] EPS	*$/Share*	*[24]/[25]*	2.46	2.41	2.63	2.64	2.65	2.87
[27] P/E	*x*		24.5x	23.0x	23.0x	24.5x	23.0x	23.0x
[28] Implied Valuation	*$/Share*	*[26]*[27]*	60.27	55.53	60.51	64.68	60.95	66.12
[29] Fair Value (Argus) | Price Target (Sidoti)	***$/Share***		**60.00**		**60.51**		**63.00**	**66.12**
[30] Current Price	*$/Share*		51.30		51.30		51.30	51.30
[31] Upside (Excl. ~4-5% Dividend Yield)	*%*	*[29]/[30]*	17%		18%		23%	29%
[32] IRR (Incl. ~4-5% Dividend Yield)	*%*							34%

Peer comparisons. OTCM exhibits a superior financial profile (higher long-term EPS growth and ROIC) to its peers but trades at a substantially lower multiple. As previously discussed, this likely stems from the occasional uncertainty about the source of OTCM's future revenue growth. At this particular juncture, this reason is unjustified because we have a line of sight to the revenue growth. A second source of valuation discount clearly stems from the OTC listing and illiquidity. I doubt OTCM will ever uplist to an exchange since doing so would run counter to the ethos of the company. The following table presents a peer comparison:

	10Y Growth In:		10Y Median:				FY2025 Valuation	
	Revenue	EPS	EBIT Margin	ROIC	ROE	ROA	EV / EBITDA	P / E
Comps								
Source	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*Cap IQ*	*Cap IQ*
[1] Nasdaq, Inc. (NasdaqGS:NDAQ)	8%	9%	26%	7%	13%	5%	20x	26x
[2] TMX Group Limited (TSX:X)	7%	17%	46%	6%	9%	1%	17x	25x
[3] London Stock Exchange Group plc (LSE:LSEG)	22%	8%	31%	7%	12%	0%	13x	23x
[4] CME Group Inc. (NasdaqGS:CME)	7%	11%	60%	8%	9%	2%	21x	24x
[5] Cboe Global Markets, Inc. (BATS:CBOE)	21%	13%	24%	12%	17%	9%	16x	24x
[6] Intercontinental Exchange, Inc. (NYSE:ICE)	11%	11%	39%	7%	11%	2%	17x	23x
[7] Euronext N.V. (ENXTPA:ENX)	11%	12%	52%	14%	27%	12%	13x	18x
[8] Deutsche Börse AG (XTRA:DB1)	10%	8%	41%	10%	19%	1%	13x	21x
[9] Singapore Exchange Limited (SGX:S68) (Jun 30, 2025)	6%	7%	50%	30%	35%	16%	23x	29x
[10] ASX Limited (ASX:ASX) (Jun 30, 2024) (Jun 30, 2025)	5%	2%	68%	12%	13%	3%	23x	29x
[11] Average	11%	10%	44%	11%	16%	5%	18x	24x
OTCM								
Source	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*QuickFS*	*woop*	*woop*
[12] OTC Markets Group Inc. (OTCPK:OTCM)	**10%**	**13%**	**33%**	**64%**	**88%**	**30%**	**14x**	**19x**

UPSIDE RISK AND MOONSHOT

Conservative FY2026 OTCID expectations. During Q3 2025, OTCM signed OTCID/DNS subscribers (at $7,500/year, plus a $3,500 application fee in many cases) at a rate of +8.1/week (and +1.8 OTCQB subscribers per week—many as uplistings). During the first 3.5 weeks of Q4, OTCM signed up +5.5 OTCID/DNS customers per week. For conservatism, I assume tapering in FY2026 for the Corporate Services tiers (OTCQX/OTCQB/OTCID/Pink DNS): Continued 0% growth for OTCQX; 0% growth for OTCQB (vs +1.8 subscribers per week during Q3 2025); and +2.0 net additions per week to OTCID/Pink (vs +8.1 additions per week during Q3 2025). I doubt anyone—including OTCM management—knows what FY2026 will look like. Will the rate of new Corporate Services subscribers hold steady? Taper? Stop growing? OTCM's introduction of the OTCID tier does rely upon a network effect of sorts: Had OTCID failed to gain traction, the lack of uptake would hinder efforts to the marginal company signed up; the more it succeeds, the easier the sales pitch to the marginal company ("All these similar companies are signing up. You should too."). The success so far is occurring in real time and bodes well, and I believe we can safely assume it has been invisible to the market.

Acquisition potential. In the history of the exchange space, large exchanges have consistently bought out smaller exchanges. I get the impression that CEO Cromwell Coulson (~35% ownership stake (Source: Cap IQ); 58 years old; has probably had a +100x bagger on his original investment dating back to 1997) does not appear to have established a succession plan. Also, I get the impression that a big buyout is not necessarily his primary goal, despite that being the natural endgame for him with his 4.1 million shares. He remains passionately engaged with the business, even after +25 years at the helm.

Nevertheless, one cannot ignore the considerable consolidation in the space. So it seems like a question of when—not if—OTCM gets bought out by an exchange. OTCM's Board Chairman Neal Wolkoff sold the American Stock Exchange to ICE (highlighted in his LinkedIn bio). Natural acquirers include ICE (owns Global OTC—OTCM's main competitor) and TMX Group (recently expanded into the US with an ATS for equity trading). An acquirer could conceivably pay a large premium and remove a substantial portion of various shared expenses (G&A, *etc.*).

OTCM has latent pricing power in both Market Data Licensing and Corporate Services. If an exchange acquirer were to take over OTCM today, they would likely jack prices, reduce expenses, and earn much more. However, flexing that pricing power would risk sacrificing growth and achieving milestones on OTCM's journey to organizing the OTC markets—for which I'd guess they have perhaps reached, say, the 5th or 6th inning. Intelligent people could disagree on which approach is optimal: (i) an acquirer ratcheting prices and cutting expenses to immediately jolt earnings upward or (ii) continuing the current path and increasing OTCM's odds of success in its 9-inning journey of organizing the OTC markets and making itself the indispensable standard to the clientele. Either way, the presence of the untapped pricing power does, at the very least, limit downside risk.

Moonshot: Crypto getting labeled as securities. We don't bank on this, but a significant moonshot opportunity exists for OTCM should regulators broadly label crypto as securities—a scenario the company has strategically prepared for even though management avoids hyping it. OTCM has already secured critical FINRA approval enabling its OTC Link ATS to trade "digital asset securities," positioning it as the potential basin if regulations classify crypto as over-the-counter equity securities subject to Rule 15c2-11 (Source: "If certain digital assets are in fact securities, they would be classified as over-the-counter equity securities subject to Rule 15c2-11.")

While further clarity from the SEC or Congress (such as the CLARITY Act, which passed the House and is currently in the Senate) and infrastructure development are needed (*e.g.*, certain plumbing such as DTC eligibility), CEO Cromwell Coulson recently broke an 18-month silence on the matter, with an article post essentially confirming OTCM will stand ready with a bucket should it start raining (digital) gold. The core opportunity rests in OTCM's ability to monetize these new assets through its entire flywheel: facilitating trades on OTC Link, generating Corporate Services revenue from issuers needing to demonstrate compliance, and selling the new market data. This model could benefit all forms of tokenization (direct, receipt, or SPV) and tap into a market with volumes far exceeding traditional OTC equities. If OTCM were to serve as the basin for trading a meaningful portion of crypto, the trading activity, data, and compliance could conceivably turn OTCM into a big multi-bagger.

DOWNSIDE RISKS AND OTHER NEGATIVES

Failure to unlock higher operating margins. On the Q2 2025 earnings call, I asked a question at the end about incremental operating margins (link), and the CEO responded by heralding fiscal conservatism and customer friendliness, analogizing Oracle (characterized as predatory) vs Costco (characterized as customer-friendly). He also underscored his shareholder alignment as the largest shareholder (~35%) and remaining a "capitalist." A friend who talks around said this Q&A came up with other shareholders, and they didn't love the response, taking it as avoiding the question, slightly condescending, and uninspiring for operating leverage/earnings growth—particularly in light of the stock's flat performance over 4 years. I didn't take it that way, necessarily. One can understand why OTCM—which regulators have effectively blessed—would hesitate to crow about immense operating leverage potential. It's a bit similar to how monopolies publicly talk themselves down while competitively disadvantaged companies talk themselves up. Of course, I would have preferred him to add something like, "That said, something like 75-90% of our expense base reflects fixed costs [to the extent that's true]. So while we take the opposite approach of Oracle, we definitionally possess operating leverage to the extent that our trading system and labor force have effectively reached scale."

Stock-based compensation growth. A meaningful negative is that stock-based compensation has grown at a high-teens CAGR for a long time (19% 5Y CAGR; 18% 10Y CAGR). I asked the CFO about this, and she began talking about volatility and how Black-Scholes computes the value of options. But that didn't quite square for me since (i) no matter the historical time horizon, the SBC growth rates look similarly high and (ii) OTCM stock has been flattish since 2021 (and far more range-bound than the typical stock). The SBC pattern is a surprising practice (versus, say, the approaches of Berkshire Hathaway or Constellation Software) for a company whose CEO is ideologically attuned to Warren Buffett/Charlie Munger (regularly referenced on earnings calls).

CONCLUSION

Absent the crypto moonshot opportunity, which would likely take some time to play out, OTCM offers a safe, asymmetric **+30-50% IRR** over the next 12-18 months.

What has made it the all-time highest conviction idea for me? It presents an unusual combo of **(i) top-tier quality and regulatory moat**, **(ii) very limited downside risk**, and **(iii) most importantly, the market failing to recognize big, immediate, and baked earnings catalysts observable via our data read through**.

- For **(i)**, the Margin of Sanity OTCM writeup (re-link) wonderfully depicts OTCM's business quality (a history of high, steady margins; deferred revenue; organic growth without capex; dividending out everything) and its big regulatory moat.
- For **(ii)**, at ~21x trailing P/E and 4.4% trailing dividend yield (19x FY2025E P/E and 5.6% FY2025E dividend yield by my estimates), OTCM offers a predictable business (82% ARR) with solid downside protection. With many companies, revenue estimates can easily miss by +/-5-10%. By contrast, while OTCM is hard to analyze from a cold start, its base economics are annuity-like for most of the company (82% ARR). This recognition of subscription revenue narrows the range of outcomes substantially. This is reflected historically: Besides the OTC Link segment containing the volume-linked piece, you don't see meaningful revenue gap-downs. Finally, the reliable and growing dividend alone well exceeds the current 10-year treasury (4.0%) while providing growth.
- For **(iii)**, which buttresses (ii), it's rare to be able to triangulate revenues across all a company's reporting segments and see unrecognized growth—much less to do so in such a high quality business (OTCM has some of the "cleanest" long-term financials you'll find: no debt; consistent long-term organic growth requiring virtually no capex; few acquisitions; full conversion of earnings to FCF; dividending everything out). For the operating leverage prospects, it helps that OTCM lowered q/q headcount between Q1 2025 (131) and Q2 2025 (128).

OTCM's financial history contains **periods of slow revenue growth, followed by revenue bursts** due to internal initiatives (*e.g.*, OTCM began charging for OTCQB listings in May 2014) and shifting regulations (*e.g.*, SEC's 2020-2021 amendment to Rule 15c2-11 linking public trading eligibility to transparent disclosure and turning OTCM into the de facto regulator). In organizing the OTC market, OTCM must properly balance rolling out changes (*e.g.*, charging for OTCQB in 2014) with letting the market consolidate around changes (*e.g.*, first letting OTCQB-listed companies get used to the benefits of being OTCQB listed prior to 2014). Moving too quickly risks undermining OTCM's trust with regulators and OTC companies. In this respect, OTCM differs from an exchange, which has a higher degree of control and defined mandate/path (whereas Cromwell has impressively created OTCM's monetization flywheel out of thin air from a stack of pink paper!). The OTCID initiative (launched Jul 1, 2025) represents another (revenue-generating) step on OTCM's journey of organizing the OTC market around better disclosure and transparency while also receiving a "toll."

I'm excited for the Q3 2025 earnings readout. And I'm even more excited for Q4 2025, when Q3 corporate subscriber signups flow through to all of Q4 on a revenue accrual basis. Happy to field questions in the comments.

DISCLAIMER

Elements of this writeup that are inherently speculative, based on information and processes that we believe to be reliable. But there could be inaccuracies in the source data or our analysis that could be material and potentially invalidate our thesis.

We made a best-efforts attempt at predicting future revenue using compelling publicly available data. Corporate Services estimation assumptions include:

- *Whether a company is a DNS subscriber.* For the OTCM corporate subscribers that are neither OTCQX, OTCQB, or OTCID, we made a best-efforts attempt to identify the specific companies resembling non-OTCQX/OTCQB/OTCID DNS (e.g., mainly Pink Limited) subscribers. We believe they are readily identifiable, but it required judgment.
- *Non-OTCQX/OTCQB/OTCID DNS attrition.* For a minor piece of the subscriber calculations, the attrition rate of these DNS subscribers, there was no way to directly observe it in real time. For conservatism, we assumed what we expect are overly aggressive attrition rates (~20%/year). Plus, if we are off on this, we don't expect it to meaningfully affect the result.
- *Identifying issuers.* One part of the tracking required identifying the underlying issuers (since OTCM bills on an issuer basis). Our analysis may have contained inaccuracies regarding who is and isn't an issuer. Though we believe we have been reasonably thorough in identifying the issuers.

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I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Q3 2025 and Q4 2025 earnings revealing the success of the OTCID initiative (for which we already have a live-read into the Q3 and beginning-of-Q4 results).
- Realized operating leverage.
- Regulatory clarity about which crypto assets are securities (i.e., crypto moonshot).
- Continued sector consolidation leading to a merger/buyout.

Messages

Subject why is it so compelling / a few risk factors?
Entry 11/01/2025 06:09 PM
Member starfox02

Hi woop -

Let me first say that I certainly took notice when you said OTCM is *"the highest conviction idea of my investing career and represents the largest position (at cost) that I have made, at over 30%,"* to the point that I decided to dig in on a Friday night (especially since I know another respected friend owns the name.) I used to have such large positions (now they scare the hell out of me), but I still respect those willing to put that much on the line.

After reading your writeup closely, I guess I'm not understanding why you have this level of conviction - I'm not saying it isn't a good idea, but rather that (despite all the detailed work), I guess I'm failing to get "the point" a bit. There are also a few risk factors I'd love your perspective on.

1) Why is it so compelling?

I recognize and understand the mechanics of the ARR uplift from the new OTCID initiative. I also respect the incredible detail of the work you've done.

However, the absolute magnitude doesn't seem enormous. While comparing our own estimates to "analyst consensus" is often not really a huge part of the analysis for small caps, since you presented it this way, your 2026 EPS estimate of $2.87 is about 8.5% above the analyst consensus for the forward year. With the caveat has moved a bit since you wrote it up (so the valuation is a bit different at $55 than it was at $51), the rest of the upside essentially comes from multiple expansion (from where we are today) with a bit of earnings growth. But given that the analyst estimates already capture EPS growth after several years of declines, it doesn't seem like the idea that they will grow next year is that misunderstood by the market.

As for the P/E ratio, one quick data source I use (could be wrong) suggests the trough of the recent range is more like ~20x LTM P/E. But I also notice that in 2015-2016, the stock traded below ~20x, and before mid-2014, traded in the mid-teens or lower. Maybe I just suck at investing / pick bad stocks, but I've invested in or seen many companies over the past few years that have broken through the downside of such relative multiples and have traded at or below trough GFC or COVID multiples despite vastly better business fundamentals or conditions (examples include high quality, conservatively run banks during the mini-panic a few years ago). OTCM has sold off sharply and quickly many times (Liberation Day, etc) and I don't think it's out of the question that certain market conditions could cause the company to be valued more pessimistically than where it currently trades (see next section).

Given that the absolute magnitude of the upside here isn't super large, why do you see this as so asymmetric? While this is undoubtedly a high quality, recurring revenue business in many ways, one could argue that the multiple is full/fair relative to growth. I could see this trading at 17-18x in a bear case fairly easily; just because it hasn't done so recently doesn't mean it never can...

2) Recession risk?

I recognize that there are two distinct buckets of companies in the OTC markets, which we'll call "large foreign companies" (that want a US listing without all the costs) and "real OTC companies." I don't think the former are in much risk in a downturn, but is there a chance that the latter face challenges due to a lack of funding, more challenging macro, etc? I don't know anything about the second bucket but I'm just going to assume that they're even less well positioned than your general small cap (which is generally considered to be more at risk during a recession.) They might get a counterweight from their trading activity picking up on higher volume, or from listed companies deciding to save money by delisting / going OTC, but any thoughts here?

3) Regulatory risk?
As you point out, 80% of OTC listed companies are foreign companies that want a US listing rather than "real" OTC companies. As such, the entire existence of the business is essentially dependent on Rule 12g3-2(b), which "*enables a foreign private issuer to have its equity securities traded on a limited basis in the over-the-counter market in the United States while avoiding registration under Exchange Act Section 12(g).*" Given that we have a volatile administration that is (vaguely) focused on deregulation (incl the SEC) and wanting other countries to "invest in the United States," and has already floated the idea of reducing reporting requirements for US publicly traded companies, how do you sleep at night with a 30% position where you could wake up and Trump could decide that Nestle could list on the NYSE or NASDAQ without filing U.S. financials? (As we've seen with tariffs, the constitutionality of such a decision would not prevent Trump from attempting to implement it in the first place.)

On a different regulatory issue, do you have thoughts on the Foreign Private Issuer issue in the SEC concept release? I confess that I can't make heads or tails of whether this could be a tailwind or headwind for OTCM (or both).

To sum up, the actual questions I'm asking in one place:

- Why is the OTCM investment so compelling and why do you view it as so asymmetric, given the upside potential appears relatively modest and a multiple-compression bear case (17-18x P/E) seems plausible?
- What is the potential recession risk, specifically regarding the "real OTC companies" (not the large foreign issuers) and their ability to withstand challenges like lack of funding or a difficult macro environment?
- What is your perspective on the regulatory risk, particularly the business's reliance on Rule 12g3-2(b), and how do you get comfortable with this risk (e.g., an administration changing foreign listing rules) for such a large (30%) position?
- Do you have any thoughts on the Foreign Private Issuer issue in the SEC concept release, and do you see it as a potential tailwind or headwind for OTCM?

Thanks again, enjoyed reading and working on this!

Subject	Re: why is it so compelling / a few risk factors?
Entry	11/04/2025 07:28 PM
Member	woop

Starfox, thanks for the questions and apologies for the delay. I'll tackle the regulatory question first (#3) as it relates directly to the business, and then try my best at the investing philosophy/style questions (#1 & #2).

Also, btw OTCM typically issues a press release prior to earnings. It hasn't done so yet. A lot of financial data providers are suggesting earnings are tomorrow, but they're not.

(3) REGULATORY RISK

That's a fair question and deserves a lengthy response. In the writeup, I didn't spend much time on OTCM's business position/moat, and your question affords a nice opportunity to respond to address the details of the current regulatory stuff while also broadening out to some important features of OTCM's business position/moat.

| SUMMARY |

Our read is that the SEC's review of Foreign Private Issuers (FPIs) (link) constitutes a low-to-non-existent threat to OTCM's business position. The SEC's primary problems it identified—regulatory arbitrage and FPIs using the US as an exclusive trading venue—largely reflect issues for exchange-traded FPIs, not the OTC markets. OTCM's 12g3-2(b) regime governing its FPIs already requires issuers trade +55% of their volumes outside the US and only ~14% have incorporation-headquartering mismatches. In OTCM's comment letter (link), it mentions how the **SEC commission explicitly excluded OTC FPIs** that trade pursuant to Rule 12g3-2(b) from its analysis (OTCM FPI 4). The SEC identifies its main concern as companies headquartered in China but incorporated in the Cayman Islands or British Virgin Islands (frequent China mentions). If, as we suggest, this focus on China reflects part of a broader concern—potentially leading to the uninvestability of Chinese shares—Chinese exposure constitutes what we estimate to be ~2% of the OTCM's revenue. One can even make a case that OTCM may benefit if new, stricter SEC rules cause some FPIs to delist to OTCM's markets.

Two key SEC focuses: (i) Regulatory arbitrage and (ii) Using the US as a primary trading venue

The SEC's concept release focuses on two primary problems:

- (i) Regulatory arbitrage, characterized by firms (+50% Chinese) incorporating in one jurisdiction (e.g., Cayman Islands or British Virgin Islands) but headquartering in another (e.g., China) to potentially reduce or avoid regulations. The mismatch has grown to affect 48% of the FPI population. (See our note at the end of this section)
- (ii) Using the US as a primary trading venue: 55% of FPI issuers (termed "US Exclusive FPIs") conduct +99% of their trading volume in the US. (CR 17, 31) The SEC dislikes that since the US is "effectively those issuers' exclusive or primary trading market… such issuers may be even less likely to be subject to meaningful requirements and oversight outside of the United States"—which represents a perversion of the original intent of the FPI rules. (CR 33, 38)

Political complications of SEC FPI reform

A significant issue with pursuing regulatory reforms on a categorical level—for example, reforming the definition of an FPI to impact the 48% of FPI's potentially engaging in regulatory arbitrage by having differing places of incorporation and places of headquarters (CR, 24) or the 55% of 20-F FPIs who are "US Exclusive FPIs" and who do not have a viable overseas trading market (CR 17, 31)—is that some FPIs may be from countries we deem to be foes, and some may be our friends. Similarly, of the FPI issuers using the British Virgin Islands or Cayman Islands for incorporation, 67% are China-Based Issuers. (CR, 25) In a time of trade wars, targeting any of these concerns on a categorical level can have unintended political consequences.

The desire to protect US investors from a variety of concerns with Chinese companies, including from aiding the country's military ambitions (SFO 4), is not a new idea. For years, discussion has circulated around delisting Chinese firms, with potential US bipartisan support (link, link). The issue, rather, is how to deal with the problem without clumsily creating new problems. Such are the times we live in.

OTCM relevance

In its comment letter, OTCM differentiates itself from the SEC's primary concerns—regulatory arbitrage and FPIs using the U.S. as an exclusive trading venue—by establishing that these problems primarily relate to exchange-traded FPIs rather than OTC FPIs. OTCM's 12g3-2(b) regime, under which 5,800 securities trade, is described by OTCM as "**well-functioning**." (OTCM FPI 1, 4) 12g3-2(b) already addresses the SEC's concerns by requiring issuers to have their primary trading nexus outside the US, with at least 55% of global trading volume occurring on foreign markets. (OTCM FPI 2) Furthermore, 86% of OTCM's FPIs are incorporated and headquartered in the same jurisdiction, minimizing the regulatory arbitrage issue. (OTCM FPI 2)

OTCM states its strongest point in differentiating OTC FPIs from exchange-traded FPIs: "[The SEC's] concerns are not present with respect to OTC FPIs that trade on the U.S. OTC market pursuant to Rule 12g3-2(b). **In fact, the commission itself excluded such issuers from its analysis in the Release."** (OTCM FPI, 4, our own emphasis) While regulatory changes may impact OTC FPIs, OTCM may actually benefit to the extent that new regulations cause or encourage exchange-traded FPIs to delist to the OTC markets, or to the extent that OTCM's FPI "mousetrap" appears to be better than the exchanges'. While we would not bank on this outcome, OTCM's corporate history demonstrates how it has continuously positioned itself as a "basin" for cast-off securities, and the SEC's potential FPI reforms may present another opportunity for the firm to, in this case, further monetize its regulatory moat.

To the extent that the focus on Chinese firms in the SEC's release reflects part of a broader political calculus, OTCM's exposure to Chinese firms—if they become uninvestable like Russian securities did—remains limited. Per OTCM's stock screener, only 53 Chinese securities (as of Nov 4, 2025) trade on OTCQX, OTCQB, and OTCID combined (~1.5% of Corporate Services ARR). Market Data Licensing exposure to China seems non-existent or at least minimal. OTC Link presents the largest exposure, as ~6% of OTCM's security count (excluding the Grey and Expert Markets and, again, per looking at OTCM's stock screener on Nov 4, 2025) may be impacted. Overall, we estimate the total Chinese exposure at ~2% of total revenue. Investors interested in OTCM's Chinese exposure in light of uninvestability risks can also examine how OTCM's Russian exposure impacted its financials in recent years.

Note #1 on Chinese Based Issuers. This is all kind of interesting: Of the "China Based Issuers" in the FPI population, which make up 28% of the FPIs in the SEC's data set, an astounding *97%* are incorporated in the Cayman Islands or the British Virgin Islands rather than China. (TFP 10-11) From 2003 through 2023, the number of FPIs incorporated in the Cayman Islands increased by 25x and the number of FPIs headquartered in China increased 11x. (TFP 9) But while Chinese Based Issuers who are also incorporated in the Cayman Islands or the British Virgin Islands (which appears to be roughly 27% of the FPI data set) might be an example of regulatory arbitrage, the practice goes beyond Chinese based issuers. From 2003 through 2023, the percentage of the FPI population who were headquartered in one jurisdiction but incorporated in another rose from 7% to 48%. (TFP 1) In other words, the Chinese Based Issuers are over 50% of the number of FPIs who are incorporated in one country but headquartered in another.

Note #2 on OTCM Communication. On the Q2 2025 conference call, Cromwell Coulson mentioned a laundry list of regulatory/legislative initiatives happening in the US and did not specifically outline any concerns with the SEC's FPI initiative. OTCM's Q2 2025 filing did not mention of the initiative as a potential negative either. Since the SEC's Concept Release was published on June 4th, 2025, this would have been within Q2 2025 and could have been referenced either on the conference call or in OTCM's filing if the company had risks to discuss—and OTCM has been good about calling risk out in the past.

(1) + (2) INVESTING PHILOSOPHY/STYLE QUESTIONS

Given the high level of engagement on your question, maybe I'll try to do a condensed response to your why-is-it-compelling and what-if-a-recession-hits questions and then follow up with more fulsome answers below.

| SUMMARY |

The short version: I understand it's a big position without short-term massive upside. I view it as a long-term investment with a compelling trade opportunity this and next quarter, and I've oversized it in large part because of this dynamic. We have an apparent data edge going into earnings with an otherwise high-quality business—all of which (the data edge and business quality) suggests a narrow range of outcomes, barring the company doing something crazy with expenses (note Q2 headcount decreased q/q and y/y). Is that all in the price? For reasons explained in the writeup, at the time of writing, I'd be pretty surprised if the reacceleration of growth didn't lead to an upside surprise. A stock that's cheaper than peers with a low-to-no-growth narrative—however, *this* and *next* quarter are rapidly reaccelerating—is a good pattern. Informational edges are hard to come by.

OTCM offers a short-term trade over Q3 and Q4. And then separately, it offers a long-term compounder that one can hold. +60% ROE and GDP+ growth (at the very least—given OTCM's ability to drive growth via both volumes and price) represents a compounder formula—plus I think the incremental operating margins will ultimately far exceed what we've seen in the past. We likely shouldn't try and wait for OTCM to trade down to a level where you're looking at 100% upside in a year, like it did in 2020 via the combo of COVID and the 15c2-11 amendment (which, as mentioned above, some market participants misinterpreted as bad). But I suppose these are investing style decisions everyone has to make for themselves.

(1) Why is it compelling? (longer version)

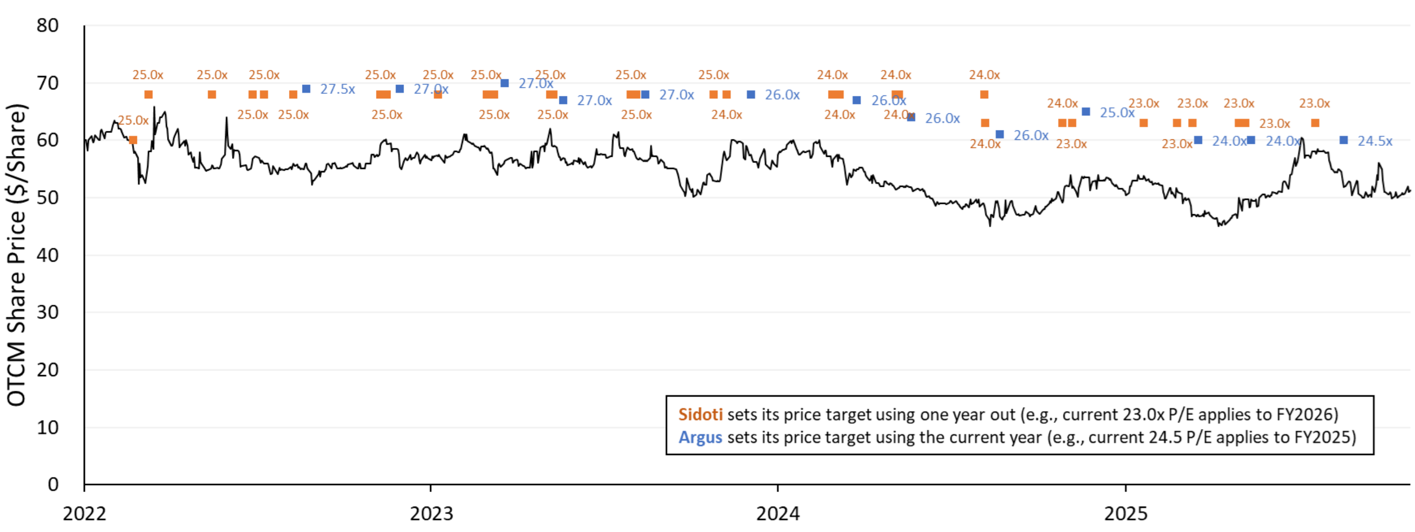
I entirely agree with you, the magnitude isn't enormous—hopefully that came through with the projected IRRs and such. It's a lowish-torque, high-confidence situation. By contrast, my recent XPEL writeup shared data-arbitrage similarities but was higher-torque, lower confidence—lower confidence both in the signal-to-noise ratio of the data arbitrage and the business strength itself. OTCM has near-zero chance of popping 40-50% on earnings like XPEL did, but it's higher conviction and better risk-reward—for me at least. Still, I ran OTCM by a friend with terrific returns, and it was a 2-min convo because he simply said the projected return didn't measure up to the current stuff in his portfolio—which I completely understand.

- Investment Community vs Sponsored Research -

I would caution against using the analysts as a gauge of the investor community in this case.

> *But given that the analyst estimates already capture EPS growth after several years of declines, it doesn't seem like the idea that they will grow next year is that misunderstood by the market.*

The sell-side "consensus" for OTCM reflects just 2 sponsored research shops. I whipped together a chart tracking their price targets and underpinning P/E multiples—which I was curious to see myself.



I don't take the sponsored research seriously, but just humoring it for a moment, two things stand out to me:

1. It reflects a predictable pattern for a research shop receiving compensation from the company to publish research: a ~20%-ish upside at all times.
2. You can see how they meaningfully lowered their P/E multiples in recent years, in response to the prevailing narrative.

During 2024, the stated reasons for Argus and Sidoti lowering their price targets included: Sustained pressure on Corporate Services subscribers (macro headwinds around higher interest rates and inflationary pressure, compliance downgrades and slower sales, and community banking sector stress that was affecting OTCQX subs); elevated operating expenses and EPS decline; lower trading volumes (especially compared to the 2021 surge); EDGAR Online integration costs (now in the rearview); and some one-off regulatory expenses.

I hope this helps to contextualize the prevailing backdrop/narrative.

- What does the trough multiple realistically look like? -

I'd like to push back a bit on this:

> *I could see this trading at 17-18x in a bear case fairly easily; just because it hasn't done so recently doesn't mean it never can.*

Of course, it's not impossible for OTCM to trade that low. Crazy things happened to great companies post-GFC. A few things to consider regarding OTCM:

- In recent years, with growth stalled and analysts finally lowering their price targets and P/E multiples during 2024, it still didn't really trade below 20x P/E. Growth should now reaccelerate. What is a more appropriate multiple: 17x or 27x?
- How much more would you prefer to own OTCM vs the S&P (+30x LTM earnings) or on a relative valuation basis vs its peers (see table in writeup)?
- At 17x P/E, OTCM will be touching a ~6% dividend yield. Plus OTCM benefits from near-costless organic growth via both volume (consistently increasing trading volumes for OTC Link; increasing Market Data Licensing professional subscribers; increasing Corporate Subscribers) and price (significant untapped pricing power) drivers. Absent a prolonged recession or excessive interest rates, would you expect it to stay there? Anything can happen but it's more likely to trade at 25-30x than 17x.

You mentioned OTCM trading lower than 20x in its past:

> *But I also notice that in 2015-2016, the stock traded below ~20x, and before mid-2014, traded in the mid-teens or lower.*

Hopefully this came through a bit in the writeup, but OTCM differs substantially as a company today vs back in that timeframe:

- The higher quality segments Market Data Licensing and Corporate Services comprised 64% of revenue vs 84% today.
- Then, as my (busy) chart showed, OTCQB began getting monetized in mid-2014 and into 2015—demonstrating OTCM's ability to derive ARR from a demonstrated willingness of OTC companies to list on OTCM's paid tiers. (And this is all well before the 15c2-11 amendment in 2020-2021 that cemented OTCM's position as a de facto enforcement arm where companies are charged a fee for accessing certain market tiers and exhibiting their compliance.)
- Plus back in 2012, for example, the S&P traded at ~14-15x LTM P/E vs +30x today. Compared to the S&P, OTCM has been trading at its lowest level in a very long time.

<u>(2) Recession Risk (longer version)</u>

History doesn't serve as a particularly useful guide since (i) OTCM has transformed so much since the GFC crisis and (ii) the COVID drawdown was short-lived and coincided with the 2020-2021 15c2-11 boost. What will likely happen to OTCM during a recession?

- <u>Elevated trading volumes (during the turmoil) will help a bit, temporarily at least.</u> As the recession hits, the volume-linked portion of OTC Link (11% of net revenues) should see increased revenue on elevated trading from the turmoil. But then I'd expect it to taper and settle at lower level after the air comes out of the market. This might act as a natural—albeit partial—"hedge" for the company's operating performance during downturns.
- <u>Exchange delistings (dropping down to OTCM) will serve as an offset to companies sinking from OTCM's markets.</u> More importantly, in terms of its "population," OTCM experiences countervailing effects: Lower-quality companies will wash down the drain (i.e., decreased securities quoted and corporate subscribers); simultaneously, OTCM will see its tub refill via companies delisting from exchanges—both forced delistings from financial deterioration and voluntary delistings to cut costs since OTCM is the dollar store of exchanges.
- <u>OTCM might not push Corporate Services prices as much. Or they might!</u> The overall cost gap between listing on an exchange vs residing on one of OTCM's paid tiers (link to OTCM fee schedule) is so vast that it seems hard to imagine a few thousand dollars will make the difference—nevermind other substantial expenses associated with exchange listing). Also, in today's compliance-driven climate, I would think the $7,500-$26,100 to remain an OTCM corporate sub would be one of the last things an exec would cut, if only for their own career risk in potentially making their security less marketable and dealing with that blowback. But I welcome any pushback here.
- OTCM's dividend yield may provide some downside protection. Note, however, that OTCM pays a modest quarterly dividend yield and then generally disgorges the remainder of the year's FCF via a year-end special dividend. So if FCF decreases substantially, then the special dividend will likely decrease (though given the underleveraged nature of OTCM, one could imagine management maintaining distributions using excess cash). CEO Cromwell Coulson runs the company much like a private business with business partners. I can't recall where I saw this, but I believe Coulson has stated that, philosophically, he believes in distributing the cash (as opposed to repurchases) so that investors can decide what they want to do with it. Apparently some of OTCM's original investors date back to the Buffett Partnership days and remain invested in OTCM (link).

Again, forgive the long response. I saw the heavy engagement on starfox's post, so I tried to organize my responses into both condensed summaries and fulsome responses to both address his questions and share some info beyond the core writeup.

I also want to stress that by characterizing it as ultra-high conviction and providing a data-arbitrage thesis going into earnings, I risk some egg on my face. We (I and Jon at Quilt Investment Management) continually refined our process for "counting railcars" leading up to the OTCID launch and gained confidence based on the Q2 reported figures as we worked it out. But few things are 100% certain, and we'll see how it goes.

I'll post a mid-Q4 update on the corporate subscriber progress in a couple weeks. Last week was strong.

Subject	Q3 results better than estimated
Entry	11/12/2025 06:22 PM
Member	woop

Q3 results are out and better than estimated.

- Net revenue = +13% (+11% modeled)
- Operating income = +23% (+21% modeled)

Our "counting railcars" methodology proved useful, as we were very close on our OTCQX, OTCQB, and OTCID corporate sub estimates. Pink/DNS is more complex because of how it's reported.

These are great results. Headcount remained down y/y, providing for operating leverage (60% y/y incremental operating margin). Q4 should look even better:

- Corporate Services will improve as the running tally of corporate subs increases and Q3 corporate subs get fully reflected on a revenue accrual basis
- Q3 Market Data Licensing (100% ARR) came in a little stronger than expected, setting a higher run rate
- Q4 OTC Link is looking good so far

Subject	Re: Q3 results better than estimated
Entry	11/12/2025 08:06 PM
Member	Supernova

Nice work woop!

Subject	OTCM Post-Q3/Ongoing Q4 Update
Entry	11/25/2025 06:35 AM
Member	woop

Q3 Results and Earnings Call

Surprised at muted market action. On the numbers, given the big beat—actuals came in +23% above Sidoti's Q3 2025 operating earnings estimate, for example—I would have expected the stock to move. Volumes have been lower than usual too.

				Q3 2025			
				Estimates			Beat vs
		Units	Calc	Sidoti	woop	Actual	Sidoti
[1]	Date			*8/20/2025*	*10/30/2025*	*11/12/2025*	*11/12/2025*
	Revenues						
[2]	OTC Link	*$M*		6.0	6.5	6.4	+7%
[3]	Market Data Licensing	*$M*		12.1	12.3	12.5	+4%
[4]	Corporate Services	*$M*		11.4	12.4	12.7	+11%
[5]	Gross Revenue	*$M*	*[2]+[3]+[4]*	29.5	31.3	31.6	+7%
[6]	(-) Redistribution Fees and Rebates	*$M*		(0.9)	(1.0)	(1.0)	
[7]	Net Revenue	*$M*	*[5]+[6]*	28.6	30.3	30.7	
[8]	(-) Redistribution & Transaction Fees	*$M*		(2.1)	(2.2)	(2.2)	
[9]	Revenues Less Transaction-Based Expenses	*$M*	*[7]+[8]*	26.5	28.0	28.5	+7%
	Operating Expenses						
[10]	Compensation & Benefits	*$M*		(11.3)	(11.1)	(11.2)	
[11]	IT Infrastructure	*$M*		(2.8)	(2.8)	(2.9)	
[12]	Professional Fees	*$M*		(1.8)	(1.7)	(1.9)	
[13]	Marketing & Advertising	*$M*		(0.4)	(0.4)	(0.4)	
[14]	Occupancy Costs	*$M*		(0.6)	(0.7)	(0.6)	
[15]	D&A	*$M*		(0.7)	(0.7)	(0.6)	
[16]	G&A	*$M*		(0.3)	(0.3)	(0.3)	
[17]	Operating Expenses	*$M*	*SUM[10]:[16]*	(17.9)	(17.6)	(17.9)	+0%
	Net Income						
[18]	Operating Earnings	*$M*	*[9]+[17]*	8.6	10.4	10.6	**+23%**
[19]	*Operating Margin*	*%*	*[7]/[18]*	*30.1%*	*34.4%*	*34.6%*	
[20]	Interest Income & Other Income	*$M*		0.3	0.3	0.3	
[21]	Pretax Income	*$M*	*[18]+[20]*	8.9	10.7	10.9	+23%
[22]	Taxes	*$M*		(1.4)	(2.0)	(2.3)	
[23]	Net Income	*$M*	*[21]+[22]*	7.5	8.7	8.6	
[24]	*Tax Rate*	*%*	*[10]/[23]*	*16.0%*	*18.7%*	*21.3%*	
[25]	EPS			0.62	0.74	0.71	+14%

Regarding the effective tax rate in Line [24], the GAAP taxes contain a lot of noise, which may normalize in future quarters. In the notes to the financials, it sounds like OBBBA lowers OTCM's cash taxes but lifts the GAAP taxes—over the short-term at least.

Taking it by reporting segment:

- OTC Link. Strong quarter, and it's evidently possible to estimate the revenues by reading through the quarter's trading volumes. This is lower-quality revenue (20% ARR) than Market Data Licensing (100% ARR) and Corporate Services (96% ARR). Volumes seem to have picked up so far in Q4 and appear on pace to exceed Q3.
- Market Data Licensing. Two positives:
    1. Market Data Licensing came in higher than expected (higher than my Line [3] estimate above I mean), driven entirely by user growth and now setting a higher baseline run-rate. OTCM's professional market data has demonstrated a secular adoption uptrend for years, with plenty of white space.
    2. More importantly, CEO Cromwell Coulson's description of the strength of the Market Data Licensing business exceeded my expectations (Q3 Earnings Transcript Link, see starting at the bottom of Page 12). He framed OTCM's Market Data Licensing data as mainly a "cornered resource" (explicitly referencing "7 Powers"—a solid book). That is, proprietary real-time data drives the majority of Market Data Licensing revenue. The CFO backed this up by saying it's "by far, the majority of our Market Data [Licensing] revenue." Semi-proprietary data (*i.e.*, advantaged, difficult-to-reproduce data such as OTCM's Blue Sky data and compliance solution that aggregates state-by-state secondary trading eligibility into a centralized, machine-readable feed for use by broker-dealers, vendors, and issuers) and commodity data (*e.g.*, EDGAR Online) reflect smaller

components. For whatever reason, from a prior conversation with management, I'd had the impression that the "cornered resource" was less of a driver, but in fact much of the product is mission-critical.

- Corporate Services. We did plenty of work before the results to estimate Q3 Corporate Services revenue—seeing that as the main upside surprise driver. The results exceeded Sidoti's expectations by 11% and ours by a bit too. OTCM has accomplished a lot by successfully rolling out OTCID, which provides another foundation to its Corporate Services model. OTCID simultaneously adds to the brand value of OTCQX and OTCQB and recharacterizes the Pink markets by eliminating Pink Current and relegating those companies to Pink Limited—branding it as more of a toilet—if they don't uplist. Now OTCM gets to enjoy the success, as the subscriber growth flows through over the subsequent quarters.

Acquisition/Succession prospects. Regarding a question about an acquirer hiking prices, Cromwell said, "I would no longer be CEO. So that decision would be above my pay grade." At 58/59 years old, he could be nearing retirement age. Personally, I suspect OTCM likely gets sold in the next 2 years or so. The financials are inflecting right now on the back of strong OTC Link volumes, Market Data Licensing user increases and price increases, and Corporate Services subscriber growth combined with price increases. Comparing the acquisition of Aquis Exchange to OTCM's growth/financial profile, one can imagine a ~20-25x EV/EBITDA multiple (*i.e.*, up to 60% premium to today's price). Though it could make sense to wait until, say, mid-to-late next year for a sale, given the inflection. And as a random note, TMX (natural fit as an OTCM acquirer) just opened an NYC office (link) near OTCM's Manhattan office.

Q4 Corp Subs Update

In Q3, the juice seemed worth the squeeze when conducting detailed estimates on underlying Corporate Services subscription activity so that we could gauge the success of the big OTCID launch prior to the Q3 print. For Q4, it seems more appropriate to directionally measure the incremental success of the different Corporate Services tiers:

- OTCQX: Surprisingly strong growth—out of the blue after a roughly flat Q3.
- OTCQB: Continues to grow at a similar rate as in Q2 and Q3, which is great.
- OTCID: Interestingly, in Q4, many companies have made a temporary visit to listing on OTCID on their journey to uplisting to either OTCQX or OTCQB. Even with these temporary residents, OTCID continues to show growth.

This is impactful growth, particularly since it will get measured against soft comps for Q4, Q1, and Q2—accentuated by next year's price increases.

Misc

Potential for a critical minerals listing boom. A potential upcycle in critical minerals companies could drive Corporate Services subscriber growth (and lift OTC Link trading volume too) with, say, Canadian and Australian companies seeking efficient access to US capital. OTCM has benefitted from past mining cycles and the cannabis boom, for example. Just browsing the OTCQB signups, you can observe the pickup in mining/critical minerals signups (link to yesterday's PR).

Getting comfortable with limited volumes among certain corporate subs. Something popped to mind that I don't particularly love about OTCM that I failed to mention in the writeup—which relates to what I see when just flipping through the otcmarkets.com Market Screener tool. So many companies hardly trade. For some corporate subscribers, I wondered why they bother. I asked management about this and, reading between the lines, I got the sense that they'd love to be able to say, "List OTCQX/B and look how much more trading volume you'll get!" But I get the impression they can't prove that uplisting necessarily leads to more trading volume. Though specific cases exist where, say, international companies using OTCM to trade in the US gained a huge investor base they otherwise would not have. Ultimately, for better or worse, I gained comfort with it by viewing it statistically: You've got thousands of companies all making individual decisions with no direct coordination, and the proof is in the pudding. If trading volume concerns truly threatened the value of OTCM's corporate tiers, we wouldn't see continued subscriber growth.

Subject	Q4 2025 Estimates
Entry	02/07/2026 07:16 AM
Member	woop

Some updates for those following:

Typically OTCM has filed its 10-K around Mar 5-12. For Q4 2025, we're penciling ~30% operating income growth. This will depend in part on operating expenses, which are inherently harder to forecast since OTCM often invests discretionarily through the income statement. Absent that, OTCM's Q4 tends to have subdued operating expenses. Hence the big modeled uplift in operating income, when combined with the revenue growth (chart below).

	Units	Calc	Q3 2025 Estimates Sidoti	Q3 2025 Estimates woop	Q3 2025 Actual	Q3 2025 Beat vs Sidoti	Q4 2025 Estimates Sidoti	Q4 2025 Estimates woop
[1] Date			*8/20/2025*	*10/30/2025*	*11/12/2025*	*11/12/2025*	*1/9/2026*	*2/7/2026*
Revenues								
[2] OTC Link	$M		6.0	6.5	6.4	+7%	6.5	7.1
[3] Market Data Licensing	$M		12.1	12.3	12.5	+4%	12.5	12.5
[4] Corporate Services	$M		11.4	12.4	12.7	+11%	12.9	12.9
[5] Gross Revenue	$M	[2]+[3]+[4]	29.5	31.3	31.6	+7%	31.9	32.5
[6] (-) Redistribution Fees and Rebates	$M		(0.9)	(1.0)	(1.0)		(1.0)	(1.0)
[7] Net Revenue	$M	[5]+[6]	28.6	30.3	30.7		30.9	31.5
[8] (-) Redistribution & Transaction Fees	$M		(2.1)	(2.2)	(2.2)		(2.2)	(2.5)
[9] Revenues Less Transaction-Based Expenses	$M	[7]+[8]	26.5	28.0	28.5	+7%	28.7	29.0
[10] *Growth (y/y)*	%		*5.3%*	*11.3%*	*13.1%*		*12.5%*	*13.7%*
Operating Expenses								
[11] Compensation & Benefits	$M		(11.3)	(11.1)	(11.2)		(11.5)	(10.8)
[12] IT Infrastructure	$M		(2.8)	(2.8)	(2.9)		(2.9)	(2.8)
[13] Professional Fees	$M		(1.8)	(1.7)	(1.9)		(1.9)	(1.9)
[14] Marketing & Advertising	$M		(0.4)	(0.4)	(0.4)		(0.4)	(0.5)
[15] Occupancy Costs	$M		(0.6)	(0.7)	(0.6)		(0.6)	(0.6)
[16] D&A	$M		(0.7)	(0.7)	(0.6)		(0.7)	(0.6)
[17] G&A	$M		(0.3)	(0.3)	(0.3)		(0.5)	(0.4)
[18] Operating Expenses	$M	SUM[11]:[17]	(17.9)	(17.6)	(17.9)	+0%	(18.6)	(17.6)
[19] *Growth (y/y)*	%		*8.1%*	*6.3%*	*8.0%*		*11.2%*	*5.3%*
Net Income								
[20] Operating Earnings	$M	[9]+[18]	8.6	10.4	10.6	+23%	10.1	11.4
[21] *Operating Margin*	%	[7]/[20]	*30.1%*	*34.4%*	*34.6%*		*32.6%*	*36.0%*
[22] *Growth (y/y)*	%		*(0.1%)*	*20.7%*	*23.0%*		*15.2%*	*29.8%*
[23] Interest Income & Other Income	$M		0.3	0.3	0.3		0.3	0.4
[24] Pretax Income	$M	[20]+[23]	8.9	10.7	10.9	+23%	10.3	11.7
[25] Taxes	$M		(1.4)	(2.0)	(2.3)		(1.8)	(2.3)
[26] Net Income	$M	[24]+[25]	7.5	8.7	8.6		8.6	9.4
[27] *Tax Rate*	%	-[24]/[25]	*16.0%*	*18.7%*	*21.3%*		*17.0%*	*19.9%*

- Segment #1 OTC Link ($7.1m net revenue estimate): For OTC Link (not including a contribution from MOON ATS), volumes appear to have grown ~11% q/q, translating to ~8% net revenue growth since ~20% of OTC Link revenues are subscription based rather than volume based.
- Segment #2 Market Data Licensing ($12.5m net revenue estimate): Market Data Licensing is 100% ARR and thus should tend to look similar to Q3 2025, which surprised to the upside on user growth. MOON may add marginally to Q4 2025, and we expect it to contribute more substantially later in FY2026. Blue Ocean currently derives ~50% of its revenue from licensing overnight data to vendors. It remains to be seen when and how much OTCM overnight data licensing will meaningfully flow into the financials. In an overnight trading roundtable, OTCM CEO Cromwell Coulson offhandedly remarked, "It's been a much bigger grind to get our [overnight trading] market data out there. There's been some fantastic vendors, and then there've been some other vendors who are not focused" (link; SIMFA, 14). We can imagine, say, Bloomberg (likely OTCM's largest current customer) dragging its feet because it caters to an institutional customer, and overnight trading hasn't yet caught on with institutions.
- Segment #3 Corporate Services ($12.9m revenue estimate): Corporate Services subscribers appeared to grow slightly in Q4, led by significant strength in OTCM's most prestigious tier, OTCQX. In Q3, with the launch of OTCID, Corporate Services subs grew 5.7% q/q. Corporate subs grew a lot during Q3, so in Q4 OTCM will get to recognize the full revenue accrual stemming from the uptick in subs.

It's possible Q4 operating expenses may be a bit elevated due to recent growth investment activity. Despite the eye-popping returns on capital, Cromwell Coulson (CEO since ~1997; 35% stake; has likely achieved a +100x on his investment) has run OTCM as a growth company. In that spirit, an OTCM exec announced opening a Hong Kong office in a Jan 3, 2026 article (link). Whether that spending shows up in Q4 2025 or FY2026 remains unclear, but either way it's probably not a big mover to expenses.

Why Hong Kong? Hong Kong appears to fulfill two strategic aims: (1) OTCM has seen an "exponential" increase in international securities listing OTC in the US from the region and opened the office to focus on growth there (see previous link); (2) Hong Kong is strategically located to further embed overnight trading in the APAC region. Jason Wallach, CEO/President of Bruce Markets which operates the Bruce Markets ATS (MOON ATS competitor), recently described an appetite for overnight trading beyond Korea in the APAC region:

> "I think as additional regions in APAC around Korea begin to further adopt [overnight trading], we know there's activity coming out of Hong Kong, coming out of Singapore. Japan, I think is in early stages of evaluation, but I don't think anything has really officially launched yet. I do think there's appetite there…" (SIFMA, 13)

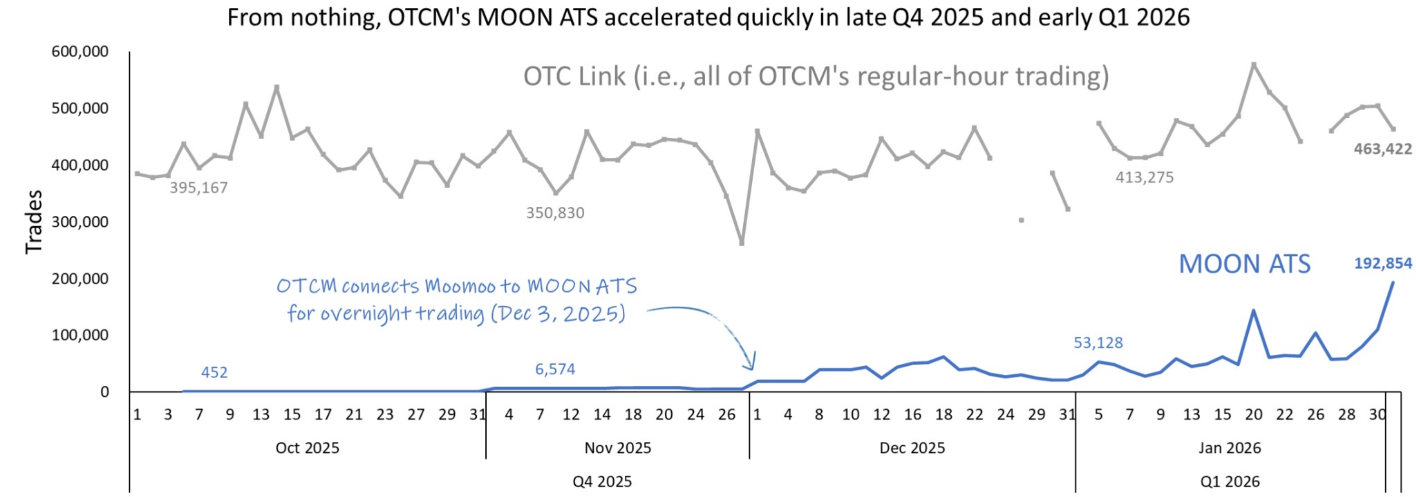
Since Cromwell has an excellent multi-decade track record and significant skin the game (~35% ownership, likely representing the majority of his net worth), we view the new Hong Kong office as "good" spending driving future returns while temporarily getting disguised in the income statement as somewhat elevated operating costs.

MOON's success

When posting the writeup in Oct 2025, we ascribed no value to OTCM's overnight trading efforts, viewing them as speculative:

> *Margin of Sanity highlights overnight trading, but I believe overnight trading is small and already fairly challenging with Blue Ocean having a strong head start, and OTCM will face increased competition from the exchanges themselves come H2 2026 (though OTCM should still dominate overnight OTC trading with "OTC Overnight").*

Much changed! In just the past few months, OTCM's overnight trading platform MOON ATS for National Market System (NMS) securities (i.e., securities listed on a major national exchange) has achieved explosive growth, going from ~0 trades to substantial volume. We tracked the MOON ATS trades on a weekly and quarterly basis using FINRA's data and then beginning in early Dec 2025 on a daily basis using data displayed on OTCM's website. For context, we compare the MOON trade volume against *all* of OTCM's regular-hour trading volume, by day, as displayed on their website.



We can speculate that OTCM's MOON partnership with Moomoo and Korea reopening in Nov 2025 contributed to the uplift (PR link). Industry-wide overnight volume is up meaningfully since Korea lifted its ban on accessing US markets during its daytime hours (link; SIFMA, 7). Moomoo is a high-tech, commission-free brokerage platform catering to a wealthier clientele (~$50k avg account size vs ~$12k for HOOD) concentrated in APAC. Moomoo positions itself as a bridge between the simplicity of HOOD and the professional-grade depth of IBKR, offering Level 2 (i.e., order book) data and so forth. Jason Paltrowitz of OTCM says, "A lot of our growth is coming out of Asia… Asian retail investors can buy global brands using our markets in their daytime and using one currency" (link).

How much will MOON's explosive growth lift OTCM's operating earnings?

OTCM management has been tight-lipped about overnight trading, with zero press releases, blog posts, etc. noting MOON's recent strength. Fortunately Blue Ocean's investor materials hint at MOON's potential economics, characterizing overnight trading as a great business: "90%" incremental margins once the overhead costs are met, "Primarily fixed costs," "52% transaction-related fees / 48% market data licensing," and Marginal New Revenue = "Direct to Bottom Line" (link). In this interview, Blue Ocean CEO indicated that the company had 15 employees, and once overhead costs are met, the business has 90% incremental margins (link). Because OTCM (129 employees) already had an expansive broker-dealer network, staff, and plenty of experience setting up and running ATSs, it managed to launch MOON ATS while reducing headcount y/y and apparently without any substantial platform or marketing costs incurred. So we see no reason why the core economics of MOON ATS shouldn't already approximate the high incremental margins and high-quality market data revenue component of Blue Ocean.

Overnight's future

In the writeup, we had mentioned the big exchanges entering overnight trading by H2 2026. At the SIFMA Overnight conference a few days ago (relink), the Blue Ocean CEO mentioned that downstream delays may occur in meeting exchanges' regulatory needs, pushing their entry out to the end of 2027 (SIFMA, 34). For current competition, three ATSs are open to all subscribers—Blue Ocean, MOON, and Bruce—and IBKR offers access to its customers (SIFMA, 12). The three ATSs split ~130m shares traded overnight. The Blue Ocean CEO sees ~200m/mo by year end, and when exchanges enter, that could expand to ~500m/mo (SIFMA, 35).

Currently, overnight is comprised of "retail trading with retail" (SIFMA, 12). Frightening as it may sound for investors' personal lives, you can imagine a world where the liquidity gradually increases, the buy side gets dragged into this, with events occurring in the middle of the night at 2am in the morning and PMs begin pressuring their traders to be involved since the markets are open (see SIFMA, 22 for a fuller hypothetical of how the institutional world could get dragged into overnight trading by the unpredictability of news flow and the chance something significant and relevant to the markets happens in off-market-hours). Brokers can either prepare beforehand or be reactive regarding what may be their inevitable involvement in overnight trading.

Market share

MOON, Bruce, and Blue Ocean's trading statistics are public, but IBKR does not appear to break out its overnight stats or get included in the overnight trading volume we reference. Triangulating a variety of data points (SIFMA Overnight Conference, FINRA data, MOON data, etc.) it appears the current market shares for Jan 2026 are roughly the following:

- Blue Ocean: Share Volume = 90.9%; $ Volume = 88.4%
- MOON: Share Volume = 5.6%; $ Volume = 5.3%
- Bruce: Share Volume = 3.5%; $ Volume = 6.3%

Before Dec 2025, Blue Ocean had ~100% market share.

Exegy OBBO effort

The overnight trading industry landscape is moving toward a form of a Consolidated Overnight Tape. In Q1 2026, Exegy will launch an Overnight Best Bid and Offer (OBBO) feed. This will combine quotes from Blue Ocean, Bruce, and MOON, effectively treating them as one unified liquidity pool for the first time.

MOON and Bruce stand to benefit most. Blue Ocean had held a first-mover advantage and, for many broker-dealers, the operational cost of maintaining three separate connections was a deterrent, leading them to stick to Blue Ocean. Aggregating all three allows firms to access MOON and Bruce via their existing Exegy infrastructure without additional integration risk.

Strategic value

If MOON ATS can grow its overnight market share before exchanges enter the space in Dec 2026/FY2027, MOON would provide a derisked, immediate point of scaled entry into the NMS overnight market for a company such as ICE or NDAQ. NMS securities are, after all, directly in the exchanges' wheelhouse, and getting the rest of OTCM would be a bonus, with its own strategic advantages (including the ability to reduce duplicative spend and possibly cross-sell or provide new opportunities for OTCM's various offerings).

Curiously enough, NDAQ recently stated it seeks that the SEC allow it to own an ATS (link). While NDAQ apparently invests in Bruce already, we could see a world where the three overnight ATS operators are purchased by the major exchanges (link). In the history of the exchange space, big fish have eaten little fish. The strategic value of MOON and OTCM's general appeal to an exchange acquirer might provide Cromwell Coulson with the ability to oversee OTCM's integration for a few years to make sure his baby is in good hands before eventual retirement. It would be a remarkable endnote to an exceptional career.

Subject Re: Q4 2025 Estimates
Entry 03/04/2026 07:57 PM
Member acm2025

This is a very impressive skill you have! Congrats on a great call.

Subject Re: Re: Q4 2025 Estimates
Entry 03/05/2026 10:51 AM
Member woop

Thanks acm! A solid quarter. Guess we'll see how the stock responds.

			Q3 2025				Q4 2025			
			Estimates			Beat vs	Estimates			Beat vs
	Units	Calc	Sidoti	woop	Actual	Sidoti	Sidoti	woop	Actual	Sidoti
[1] Date			*8/20/2025*	*10/30/2025*	*11/12/2025*	*11/12/2025*	*1/9/2026*	*2/7/2026*	*3/4/2026*	*3/4/2026*
Revenues										
[2] OTC Link	$M		6.0	6.5	6.4	+7%	6.5	7.1	6.8	+5%
[3] Market Data Licensing	$M		12.1	12.3	12.5	+4%	12.5	12.5	12.7	+2%
[4] Corporate Services	$M		11.4	12.4	12.7	+11%	12.9	12.9	13.1	+2%
[5] Gross Revenue	$M	[2]+[3]+[4]	29.5	31.3	31.6	+7%	31.9	32.5	32.7	+3%
[6] (-) Redistribution Fees and Rebates	$M		(0.9)	(1.0)	(1.0)		(1.0)	(1.0)	(1.0)	
[7] Net Revenue	$M	[5]+[6]	28.6	30.3	30.7		30.9	31.5	31.7	
[8] (-) Redistribution & Transaction Fees	$M		(2.1)	(2.2)	(2.2)		(2.2)	(2.5)	(2.4)	
[9] Revenues Less Transaction-Based Expenses	$M	[7]+[8]	26.5	28.0	28.5	+7%	28.7	29.0	29.3	+2%
[10] *Growth (y/y)*	%		*5.3%*	*11.3%*	*13.1%*		*12.5%*	*13.7%*	*14.9%*	
Operating Expenses										
[11] Compensation & Benefits	$M		(11.3)	(11.1)	(11.2)		(11.5)	(10.8)	(10.8)	
[12] IT Infrastructure	$M		(2.8)	(2.8)	(2.9)		(2.9)	(2.8)	(2.9)	
[13] Professional Fees	$M		(1.8)	(1.7)	(1.9)		(1.9)	(1.9)	(1.9)	
[14] Marketing & Advertising	$M		(0.4)	(0.4)	(0.4)		(0.4)	(0.5)	(0.5)	
[15] Occupancy Costs	$M		(0.6)	(0.7)	(0.6)		(0.6)	(0.6)	(0.6)	
[16] D&A	$M		(0.7)	(0.7)	(0.6)		(0.7)	(0.6)	(0.6)	
[17] G&A	$M		(0.3)	(0.3)	(0.3)		(0.5)	(0.4)	(0.4)	
[18] Operating Expenses	$M	SUM[11]:[17]	(17.9)	(17.6)	(17.9)	+0%	(18.6)	(17.6)	(17.8)	
[19] *Growth (y/y)*	%		*8.1%*	*6.3%*	*8.0%*		*11.2%*	*5.3%*	*6.2%*	
Net Income										
[20] Operating Earnings	$M	[9]+[18]	8.6	10.4	10.6	+23%	10.1	11.4	11.5	**+14%**
[21] *Operating Margin*	%	[7]/[20]	*30.1%*	*34.4%*	*34.6%*		*32.6%*	***36.0%***	*36.3%*	
[22] *Growth (y/y)*	%		*(0.1%)*	*20.7%*	*23.0%*		*15.2%*	***29.8%***	*31.7%*	
[23] Interest Income & Other Income	$M		0.3	0.3	0.3		0.3	0.4	0.3	
[24] Pretax Income	$M	[20]+[23]	8.9	10.7	10.9	+23%	10.3	11.7	11.8	+15%
[25] Taxes	$M		(1.4)	(2.0)	(2.3)		(1.8)	(2.3)	(2.6)	
[26] Net Income	$M	[24]+[25]	7.5	8.7	8.6		8.6	9.4	9.2	
[27] *Tax Rate*	%	-[24]/[25]	*16.0%*	*18.7%*	*21.3%*		*17.0%*	*19.9%*	*22.0%*	

Some operational commentary:

- So far the **OTC Link segment volumes** so far have trended up significantly q/q (Q1 2026 vs Q4 2025).
- In **Market Data Licensing**, OTCM pushed a big price increase onto Professional users in FY2025, yet grew customers by 3%, demonstrating the stickiness and untapped pricing power.
- In **Corporate Services**, if I recall correctly, Cromwell (CEO) and Antonia (CFO) discussed how the rollout of OTCID generated useful conversations with issuers, prompting them not only to join OTCID but also to join OTCM's more premium tiers (OTCQX and OTCQB). Plus we'll see the usual price increases across OTCQX and OTCQB, including a big +7% price increase in Q3 2026 for OTCID.

Main highlights aside from the operational highlights above:

- For the first time ever, Cromwell Coulson (CEO since 1997; 35% stake) said they **plan to opportunistically buy back shares—a big positive and surprising change in the capital allocation philosophy**. Typically low-volume, high-bid-ask-speak companies with a long habit of not repurchasing shares don't change their stripes, often relying on the excuse: "We already have low float and a trading volume issue. Repurchasing shares will just worsen it." Cromwell's tune change makes me think he does not care about the low-float/low-volume/bid-ask-spread issues, sees it's undervalued, and doesn't mind the potential stock price impact. This shift would also be consistent with a potential sale down the road—since the liquidity and float would not matter, but a stock price more aligned with fundamental value would.
- Big **increase to the regular dividend** from $0.18/share to $0.30/share, seeking a more balanced approach between regular and special dividends (currently the company pays out all remaining FCF at year-end via a special dividend). I suspect they'll maintain the $1.75/share special dividend, based on my FY2026 FCF modelling.
- It'll be interesting to see what sort of impact **overnight trading** (MOON ATS) has on 2026 revenues. Cromwell punted on overnight questions, but Antonia (CFO) indicated that they would release information soon when asked Q1 2026 overnight progress. We should see some sort of unknown Market Data Licensing impact from MOON during FY2026.

Subject Re: Re: Re: Q4 2025 Estimates
Entry 03/05/2026 12:28 PM

Member acm2025

The buy back thing screams sale. Especially given his age.

Subject Re: Re: Re: Re: Q4 2025 Estimates
Entry 03/05/2026 07:43 PM
Member woop

It feels that way acm. It's odd to have a philosophy of not doing buybacks (except the token Q1 buybacks to offset dilution) for the life of the public company (since 2009)--and philosophically rooted in the idea that value investors comprise the shareholder base, who can decide for themselves what to do with the cash flow--and then suddenly flip. He even acknowledged OTCM stock is already thinly traded and that he didn't care.

Also, for what it's worth, I followed up with Antonia (CFO) regarding the normalized tax rate. I asked in part because *GAAP* taxes have created the illusion of causing a drag in the past 2 quarters, when in fact it turns out OTCM's tax setup is excellent. She confirmed the following is an appropriate framing of OTCM's tax situation (TL;DR = Temporary R&D benefits depress current cash taxes and inflate GAAP taxes; both rates to normalize at 16-17% in future years).

- From Note 14, it sounds like OTCM's current cash tax rate (roughly 11-12% in 2025) is temporarily depressed due to the overlapping benefits of immediate R&D expensing under the newly enacted OBBBA and the continued amortization of previously capitalized R&D (the remaining $4.4 million deferred tax asset).
- Over the next couple of years, as this deferred tax asset amortizes to zero—all else equal—the cash tax rate will to trend upward to converge with the GAAP effective rate.
- However, once the initial temporary suppression of taxable income from the new R&D expensing normalizes, the enhanced FDII deduction taking effect in 2026 should restore the structural FDII benefit to, say, at least its historical ~4% level (up from the squeezed 2.3% benefit seen in 2025).
- Ultimately, it's reasonable to expect the long-term normalized cash tax rate to stabilize in the, say, **16-17% range**, closely tracking a GAAP rate that is structurally lowered by the enhanced FDII benefit and standard R&D credits.

Subject Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry 03/06/2026 08:48 AM
Member finn520

This is funny.

Robert Cromwell Coulson President, CEO & Director

And Jonathan, there's a course they teach using spreadsheets at Harvard Business School called Everything Looks Better With Leverage. And then every market cycle, there's a School of Hard Knocks course called Until It Doesn't. Like we run our books conservatively.

Subject Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry 03/06/2026 10:16 AM
Member woop

A little sizzle on that one! He's got a philosophical side--heard that from formers too. I like how they currently run it. They'll get credit for the excess cash when it's eventually sold, and Cromwell rightly pointed out OTCM's higher cost of debt.

Subject Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry 04/30/2026 11:24 AM
Member acm2025

What is your crystal ball saying for this quarter? Nail it to the % please.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry 05/01/2026 06:29 AM
Member woop

Ha well what good is the crystal ball if the stock doesn't really move! (Note, though, that OTCM pays out all earnings and FCF in dividends, so that will continue to drag on the stock price--$2.23/share in dividends since the writeup.)

I'll bite, with the caveat that Q1 is a trickier target. We still have a line of sight on the revenue, but the expense side is inherently harder to pin down right now. OTCM has a certain rhythm: Q4 tends to see subdued operating expenses and lower Comp & Benefits, which makes Q1 a bit of a reset quarter where the comp cycle shifts and expenses tend to tick back up.

			Q4 2025				Q1 2026	
			Estimates			Beat vs	Estimates	
	Units	Calc	Sidoti	woop	Actual	Sidoti	Sidoti	woop
[1] Date			1/9/2026	2/7/2026	3/4/2026	3/4/2026	3/6/2026	5/1/2026
Revenues								
[2] OTC Link	$M		6.5	7.1	6.8	+5%	6.6	7.3
[3] Market Data Licensing	$M		12.5	12.5	12.7	+2%	12.9	13.0
[4] Corporate Services	$M		12.9	12.9	13.1	+2%	13.0	13.1
[5] Gross Revenue	$M	[2]+[3]+[4]	31.9	32.5	32.7	+3%	32.5	33.5
[6] (-) Redistribution Fees and Rebates	$M		(1.0)	(1.0)	(1.0)		(1.0)	(1.0)
[7] Net Revenue	$M	[5]+[6]	30.9	31.5	31.7		31.5	32.5
[8] (-) Redistribution & Transaction Fees	$M		(2.2)	(2.5)	(2.4)		(2.3)	(2.6)
[9] Revenues Less Transaction-Based Expenses	$M	[7]+[8]	28.7	29.0	29.3	+2%	29.3	29.8
[10] *Growth (y/y)*	%		12.5%	13.7%	14.9%		8.1%	10.2%
Operating Expenses								
[11] Compensation & Benefits	$M		(11.5)	(10.8)	(10.8)		(13.7)	(13.6)
[12] IT Infrastructure	$M		(2.9)	(2.8)	(2.9)		(3.1)	(2.9)
[13] Professional Fees	$M		(1.9)	(1.9)	(1.9)		(2.1)	(2.1)
[14] Marketing & Advertising	$M		(0.4)	(0.5)	(0.5)		(0.4)	(0.3)
[15] Occupancy Costs	$M		(0.6)	(0.6)	(0.6)		(0.7)	(0.7)
[16] D&A	$M		(0.7)	(0.6)	(0.6)		(0.7)	(0.6)
[17] G&A	$M		(0.5)	(0.4)	(0.4)		(0.4)	(0.6)
[18] Operating Expenses	$M	SUM[11]:[17]	(18.6)	(17.6)	(17.8)		(20.9)	(20.7)
[19] *Growth (y/y)*	%		11.2%	5.3%	6.2%		5.8%	4.4%
Net Income								
[20] Operating Earnings	$M	[9]+[18]	10.1	11.4	11.5	+14%	8.3	9.2
[21] *Operating Margin*	%	[7]/[20]	32.6%	36.0%	36.3%		26.4%	28.2%
[22] *Growth (y/y)*	%		15.2%	29.8%	31.7%		14.4%	25.9%
[23] Interest Income & Other Income	$M		0.3	0.4	0.3		0.3	0.4
[24] Pretax Income	$M	[20]+[23]	10.3	11.7	11.8	+15%	8.6	9.6
[25] Taxes	$M		(1.8)	(2.3)	(2.6)		(1.4)	(1.8)
[26] Net Income	$M	[24]+[25]	8.6	9.4	9.2		7.2	7.7
[27] *Tax Rate*	%	-[24]/[25]	17.0%	19.9%	22.0%		16.0%	19.0%

As you can see, Sidoti has understandably upped its run-rate estimates across all the segments to reflect recent quarters (~81% of OTCM's revenues reflect ARR). I'm slightly higher on revenues and slightly lower on expenses. But Q1 expenses are more of wildcard than Q4, in my view. And as I tried to show in a previous comment, OTCM stock isn't trading off the sponsored-analyst views.

Segment-level commentary:

- In **OTC Link**, regular-hour volumes have trended up q/q.
- In **Market Data Licensing**, it doesn't appear they've pushed price this year. I have only modelled a 2% effective price increase.
- In **Corporate Services**, we are entering the "harvest" phase of the OTCID rollout. Not only are we seeing the full-quarter accrual of Q3/Q4 signups, but the initiative has clearly acted as a top-of-funnel driver, pushing issuers toward the more premium OTCQX and OTCQB tiers. (Also, keep in mind that Q1 is a couple of days shorter than the back half of the year, which naturally shaves a point or two off the sequential growth just on billing days alone.)

I am not expecting too much in terms of share repurchases, despite the surprising shift toward opportunistic repurchases announced on the Q4 call. When you consider the rules (i.e., SEC Rule 10b-18: <25% of ADTV on a given day with a one big block trade exception per week; can't bid above the highest independent bid or last independent transaction price; no opening-day bid or bidding during last 10 min) and the stock's limited liquidity, it's hard to imagine how OTCM would repurchase all that much in a quarter.

I have a 2nd baby incoming this week so I may be a little out of pocket during/after earnings (earnings out on May 6; earnings call on May 7). But I plan to again hop on the earnings call with a question or two.

Addendum on overnight trading:

- Based on Cromwell Coulson's comments on the Q4 earnings call, I don't expect much operating earnings contribution from overnight trading. Still, it can only provide upside considering the trading system investment should be in the rear view at this point.
- OTCM announced a strategic modification to Moon ATS market data fees on Mar 31. It immediately allows OTCM to leverage its existing broker-dealer subscriber base to compete against Blue Ocean and Bruce ATS, lifting its position in the overnight space before the exchanges enter (estimated late 2026/early 2027). Instead of needing to sign up broker-dealers to enable overnight market data (a time-consuming and resource-intensive process), overnight market data is now automatically included in existing subscriptions. This is a "flex" that neither Blue Ocean nor Bruce could achieve because they are solely overnight providers and lack a daytime base to flex. OTCM is stuffing value into its existing market data plans, allowing it the capacity to eventually raise prices to account for that added value.
- I view this as OTCM flexing its network to create greater customer value and reduce roadblocks for overnight adoption, even if it means accepting a low immediate revenue contribution for an emerging product. The value is in the curve becoming parabolic, not in monetizing the beginnings of the curve at the expense of its growth.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry	05/08/2026 02:54 PM
Member	starfox02

Would of course love your thoughts on the quarter as the undisputed axe on the stock.

Also - I must confess I didn't understand your comment on the call - "*The market appears to be valuing OTC Markets as a high quality but low to no growth company.*" No-growth multiple would be down 50 percent from here, imo. Hard to call a high teens to twenties multiple no growth? What did you mean by this exactly?

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry	05/09/2026 03:05 PM
Member	woop

It’s not really my nature to argue on this sort of stuff, and I know you do solid work. Plus this is a question less about OTCM, since it’s an inapplicable hypothetical, and more of a debate question—of a similar sort covered in Comment #2, to which I devoted considerable effort. Not sure what to say except that we’re worlds apart: If the stock dropped 50%, you’d be looking at an ~11% dividend yield (2026) on a moaty business (market infrastructure; and unlike many peers OTCM didn’t expand into analytics, which is showing signs of AI vulnerability) with 81% ARR, negative working capital, converting all earnings to FCF, and requiring no capex—vs 4.36% on the 10Y treasury today. (What constitutes “low-to-no growth”—0% revenue growth, no volume growth, no earnings growth, etc.? I wasn’t trying to define it in the setup to that Q&A.)

A sidebar on what I was referring to as it pertains to OTCM: I view the 2021-2025 period as an aberration where it’s important to look under the hood at revenues. Operating earnings (and net income) have hardly budged since 2021. In 2021, OTCM got a double adrenaline shot from both (i) the 15c2-11 amendment (driving sustainable Corporate Services revenue in Row [9]) plus (ii) mania-like trading (driving non-sustainable OTC Link revenue in Row [5]). Meanwhile, OTCM invests for growth via the income statement (Row [12]), increasing the value proposition of all three segments—particularly Market Data Licensing and Corporate Services—to drive both volume and pricing growth. So you end up with a so-so topline and a pitiful bottom line during 2021-2025 from that combo of factors, masking the strong growth occurring under the hood in the highest value segments.

SEGMENT-LEVEL CONTRIBUTION TO OPERATION EARNINGS

		Units	Calc	2020	2021	2022	2023	2024	2025	'25 vs '21	
	(1) OTC Link										
[1]	Point-in-Time	$M		12.1	25.6	16.2	14.9	17.2	21.0	(18%)	
[2]	Over Time	$M		3.8	4.1	4.7	4.7	5.3	5.2	28%	Down from
[3]	Revenue	$M	[1]+[2]	15.9	29.7	20.9	19.6	22.4	26.3	(11%)	'21 sugar
[4]	(-) Transaction-Based Exp.	$M		(3.0)	(9.3)	(5.8)	(5.5)	(6.6)	(9.2)	(0%)	high
[5]	Net Revenue	$M	[3]+[4]	12.9	20.4	15.1	14.1	15.8	17.0	(17%)	
	(2) Market Data Licensing	$M									
[6]	Revenue	$M		28.1	33.8	36.4	43.4	43.6	50.4	49%	Higher quality
[7]	(-) Redistribution Fees/Rebates	$M		(2.8)	(3.0)	(3.1)	(3.2)	(3.2)	(4.0)	31%	& solidly
[8]	Net Revenue	$M	[6]+[7]	25.3	30.7	33.3	40.1	40.4	46.4	51%	growing
	(3) Corporate Services										Higher quality
[9]	Net Revenue	$M		27.2	39.5	47.8	46.9	45.0	48.7	23%	& solidly
[10]	Net Revenue (H2 '25 Run Rate)	$M							51.7	31%	growing
	Operating Earnings										
[11]	Net Revenue	$M	[5]+[8]+[9]	65.4	90.6	96.2	101.1	101.2	112.1	24%	
[12]	Operating Expenses	$M		(44.0)	(52.6)	(59.4)	(68.5)	(69.0)	(73.9)	40%	
[13]	Operating Earnings	$M	[11]+[12]	21.4	38.0	36.8	32.6	32.2	38.2	1%	
[14]	*Operating Margin*	%	[13]/[11]	*33%*	*42%*	*38%*	*32%*	*32%*	*34%*	*(19%)*	
[15]	*Subscription-Based Revenue*	%		*81%*	*73%*	*82%*	*85%*	*83%*	*81%*		

* Note the 2025 Corporate Services got a boost in H2 from OTCID, and but for H1 would have more like a $51.7m run rate—which would put the growth since 2021 at 31% instead of 23% (Row [10]).

Zooming further out, OTCM has compounded earnings at high rates:

- Operating earnings
  - 5Y = 12%
  - 10Y = 9%
  - 15Y = 14%
- EPS
  - Actual
    - 5Y = 11%
    - 10Y = 11%
    - 15Y = 16%
  - And FWIW, if you normalize the 2025 tax rate to 16.5% (see Comment #11), EPS:
    - 5Y = 12%
    - 10Y = 12%
    - 15Y = 17%

That growth deserves a solid multiple because of the no-capex element. To compare it to a typical company’s earnings multiple is to get the math wrong because of the concept discussed in the Greenblatt class notes comparing Moody’s and Coke. (And FWIW, the same concept applies in a low-to-no growth hypothetical, except with respect to maintenance capex.)

I plan to hit on more stuff related to Q1 and the call but I’m a bit crunched for time now with a brand new, ultra-low ROIC addition to the family plus some other obligations.

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry	05/09/2026 03:18 PM
Member	acm2025

Congrats. The first couple years are flat but the older they get the more I realize it's actually the use of my time that returns the highest roic in terms of joy. When they read you a book or crush a golf ball or tell a legit funny joke it's truly the best thing in the world...

Subject	Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Q4 2025 Estimates
Entry	05/09/2026 03:32 PM
Member	woop

Love to hear it! Terrible 2s + angry potato right now but mostly enjoying it--so I can only imagine how much it improves